Capital Com SV Investments Limited

(the **"Company"**)

CAPITAL COM SV INVESTMENTS LIMITED ANTI-MONEY LAUNDERING MANUAL

, Version 8.0

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1. General Provisions

1.1 Introduction

Capital Com SV Investments Ltd (hereinafter, the “Company” or “Capital.Com”) is a limited company incorporated in Cyprus, offering to its Clients investment and ancillary services, as authorised by the Cyprus Securities and Exchange Commission (hereinafter, the “Commission” or the “CySEC”). It is, therefore, a Cyprus Investment Firm (hereinafter, a “CIF”) within the meaning of the Investment Services and Activities and Regulated Markets Law of 2017, L87(I)/2017 as amended (the "Investment Services Law").

As a CIF, the Company is required by CySEC to issue in writing an “Anti-Money Laundering/Combating Terrorist Financing Manual” (hereinafter, the “AML Manual” or the “AML/CFT Manual”) regarding its procedures on identifying and preventing money laundering and terrorist financing. The policies and procedures detailed in the AML Manual are designed to identify in advance all risks of the firm relating to money laundering and terrorist financing and to respond to these risks effectively. The Company’s main risks in relation to money laundering and terrorist financing arises from the establishment of business relationships with its Clients and accepting their funds. The risk assessment and implementation of measures and procedures to manage and mitigate the identified risks begins before the acceptance of a client or an engagement and continues throughout its duration.

The AML Manual should be read in conjunction with the Internal Operations Manual (hereinafter, the “IOM”).

1.2 Purpose

As a Cyprus Investment Firm, Capital.com acknowledges that ML/TF risks exist, which could potentially result in its services or products being utilised to facilitate money laundering or terrorist financing schemes.

The purpose of having an Anti-Money Laundering (AML) Manual in place is to establish a clear and comprehensive framework that outlines the company's policies and procedures for preventing, identifying, managing, and mitigating the risks associated with money laundering, terrorist financing and related financial crimes. The AML Manual serves as a critical internal resource that ensures all employees and other related parties understand their responsibilities and adhere to regulatory requirements and best practices. By clearly defining the company’s approach to Client identification due diligence, ongoing monitoring, reporting, and internal controls, the manual helps safeguard the integrity of the business and supports compliance with applicable laws and regulations.

1.3 Approval and Distribution

The preparation, ownership and maintenance of this AML Manual is the responsibility of the Anti-Money Laundering Compliance Officer (the “AMLCO”) , while the member of the Board of Directors appointed specifically for the supervision of the implementation of Company’s AML procedures shall ensure that the procedures outlined herein are duly applied. The AML Manual shall be approved by the Board of Directors of the Company and thereafter shall be communicated and acknowledged by all employees, as well as any officers and staff of the group companies offering services to the Company on an outsourced basis.

Through the acknowledgment request, the Company ensures that all the employees and other relevant persons described above adhere to provisions of the Prevention and Suppression of Money Laundering and Terrorist FinancingActivities Law (Law 188(I)/2007) as amended from time to time and the CySEC’s Directives for the Prevention of Money Laundering and Terrorist Financing (the “AML Directive”) while protecting the Company from any involvement with ML/TF activities.

1.4 Review of the AML Manual

The measures, procedures, and controls outlined in the AML Manual are subject to regular review to ensure that the company effectively manages and mitigates risks arising from changes in the characteristics of existing clients, new client relationships, and the services offered. In particular, the AML Manual will be reviewed frequently by the AML Compliance Officer (AMLCO) and at a minimum on an annual basis. Additionally, the manual shall be promptly updated to reflect any changes or updates in applicable regulatory provisions, ensuring continued compliance with all relevant legal and regulatory requirements.

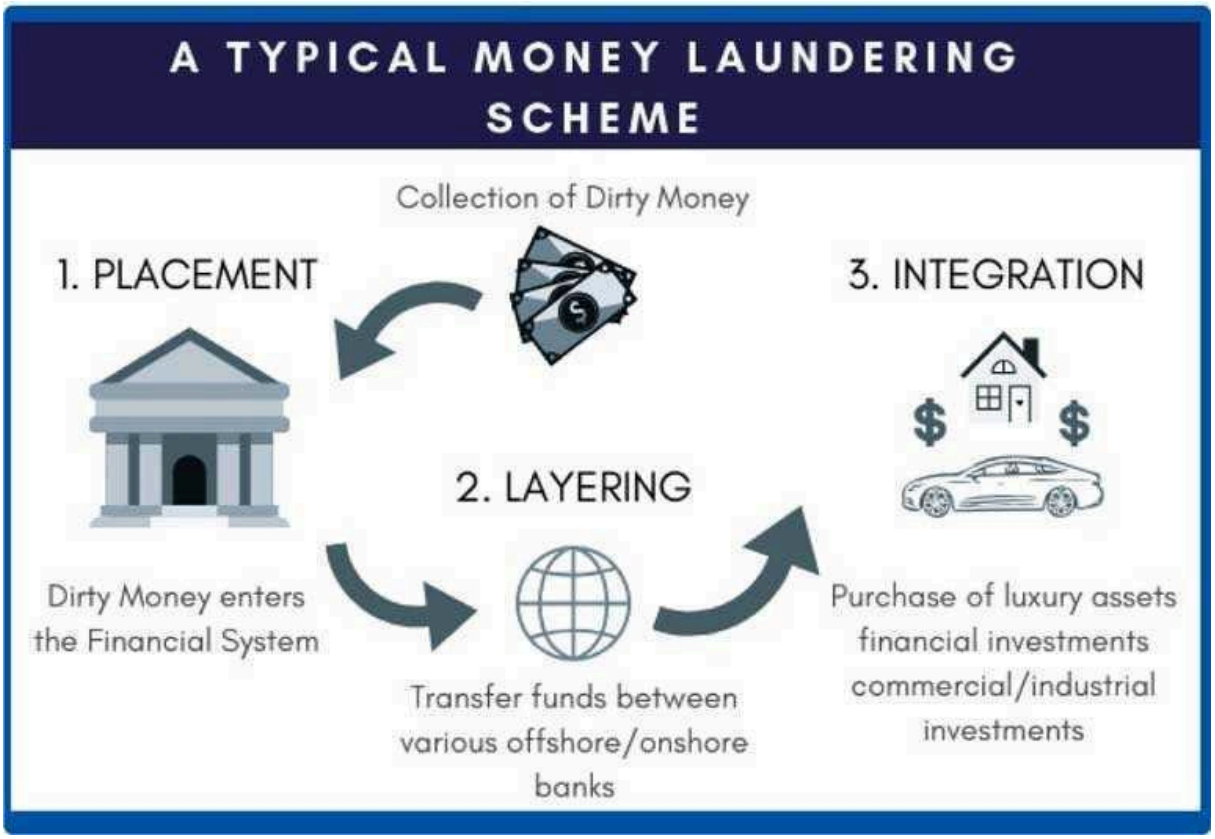
1.5 Key Definitions

Money Laundering

Money laundering is the process by which money earned from illegal means is "washed" through legitimate systems and enterprises in order to be cleaned and eventually returned to the criminal in the form of legitimate money.

There are three stages of the money laundering cycle, generally known as:

1. **Placement** - this represents the entry of "dirty" money into legitimate institutions;
2. **Layering** - this is the most complex aspect of the money laundering cycle and usually consists of multiple transactions designed to obscure the identity of the person and/or an audit trail of the source of the funds. It could involve multiple electronic transfers or even the use of traded products and/or services. The intention is to change assets rapidly to a different form and to hide or disguise the original source of the funds. Accordingly, the transactions can take place through multiple licensees, possibly even using various products - anything which allows for the swift transfer of ownership and mechanisms which extend or make the audit trail difficult; and
3. **Integration** - in this cycle, money is returned to the hands of the money launderer as legitimate funds and can be used for any purpose.



Terrorist Financing

Terrorist organisations require money to operate and rely on different types of funding, including criminal

activities. The latter can refer to smuggling, drug trafficking and donations from sympathisers (including foreign governments).

Small amounts can be used to commit individual terrorist acts. Terrorists can also be funded from legitimate sources, such as donations from charitable organisations. Consequently, it can be difficult to detect at what stage legitimate funds become terrorist property.

Terrorist infrastructure can be expensive to finance and funds are often controlled by a variety of sources and are moved across different jurisdictions via legitimate means.

Terrorist financing may not necessarily involve the proceeds of criminal conduct, but rather an attempt to conceal the origin or intended use of the funds, which will later be used for criminal purposes. Given that funds for terrorism can be obtained from legitimate sources, the terrorist financing cycle operates differently from the money laundering cycle. The aim of the terrorist cycle is to move legitimate money into terrorist hands.

The Company has developed and implemented a policy in order to be prevented from being used as a source of legalisation of proceeds of criminal activities and the financing of terrorism, taking into account also the requirements of the "Combating of Terrorism and Victim Protection Law of 2019 (N.75(I)/2019)" as amended and the responsibility of ensuring compliance with the provisions of this Law. In the case that any client is identified to be involved in such terrorist activities, the AMLCO will immediately freeze the accounts and the respective balances and will inform the relevant authorities, as per the requirements of the said Law.

"4th EU AML Directive" means the Directive (EU) 2015/849 of the European Parliament and of the Council of 20 May 2015 on the prevention of the use of the financial system for the purposes of money laundering or terrorist financing.

"5th EU AML Directive" means the Directive (EU) 2018/843 of the European Parliament and of the Council of 30 May 2018 amending Directive (EU) 2015/849 on the prevention of the use of the financial system for the purposes of ML and TF.

"6th EU AML Directive" means the Directive (EU) 2018/1673 of the European Parliament and of the Council of 23 October 2018 on Combating Money Laundering by Criminal Law.

"AMLCO" means the appointed Anti-Money Laundering Compliance Officer of the Company.

"AML Directive" means the Directive of 2020 of the Cyprus Securities and Exchange Commission for the prevention and suppression of money laundering and terrorist financing, cited as the Directive for the Prevention of Money Laundering and Terrorist Financing, as amended.

"Alternate Compliance Officer" means the person, in case the compliance officer is absent, who should replace him/her temporarily, perform his/her duties as defined in the AML/CFT Directive and the AML/CFT Law and fulfil the conditions of appointing a compliance officer. The Company may outsource, as well, the function of the alternate compliance officer only if a natural person is appointed.

"AML Law" means the Prevention and Suppression of Money Laundering and Terrorism Financing Law of 2007, L.188(I)/2007) as amended from time to time.

"Beneficial owner" means any natural person(s) who ultimately owns or controls the client and/or the natural person(s) on whose behalf a transaction or activity is being conducted and includes at least:

1. In the case of corporate entities:
    a. The natural person(s) who ultimately owns or controls a legal entity through direct or indirect ownership interest in that entity, including through bearer shareholdings, or through control via other means, other than a company listed on a regulated market that is subject to disclosure requirements consistent with the Union Law or subject to equivalent international standards which ensure adequate transparency of ownership information.

    A shareholding of 25% plus one share or an ownership interest of more than 25% in the customer

held by a natural person, shall be an indication of direct shareholding.

A shareholding of 25% plus one share or an ownership interest of more than 25% in the investor held by corporate entity, which is under the control of a natural person(s), or by multiple corporate entities, which are under the control of the same natural person(s), shall be an indication of indirect ownership.

Whilst the above is the regulatory definition of a beneficial owner, the Company has opted up to consider a beneficial owner anyone whose percentage of shares/ownership is more than 10%, as in the cases indicated above.

b. The natural person(s) who hold the position of senior managing official(s), if, after having exhausted all possible means and provided there are no grounds for suspicion, no person under point (i) is identified, or if there is any doubt that the person(s) identified are the beneficial owner(s). The obliged entities shall keep records of the actions taken in order to identify the beneficial ownership under points (i) and (ii).

2. In the case of trust:
   a. the settlor; ii. the trustee(s); iii. the protector, if any; iv. the beneficiaries, or where the individuals benefiting from the legal arrangement or entity have yet to be determined, the class of persons in whose main interest the legal arrangement or entity is set up or operates; and v. any other natural person exercising ultimate control over the trust by means of direct or indirect ownership or by other means.
3. In the case of legal entities such as foundations, and legal arrangements similar to trusts: i. the natural persons holding equivalent or similar positions to those referred to in point (b) above.

"CySEC" means the Cyprus Securities and Exchange Commission, which supervises the activities of the Company.

"Employees" or "Staff" means the persons employed by the Company including senior managers, officers, employees (whether permanent, fixed-term, or temporary), trainees and interns, as well as any officers and staff of the group companies offering services on an outsourced basis.

"European Economic Area (EEA)" means any Member State of the European Union or other contracting state which, is a party to the agreement for the European Economic Area signed in Porto on the 2nd of May 1992 and was adjusted by the Protocol signed in Brussels on the 17th of March 1993, as amended

"Family Members" to a politically exposed person include the following:

(a) The spouse, or a person considered to be equivalent to a spouse; (b) The children and their spouses, or persons considered to be equivalent to a spouse; and (c) The parents.

"FATF" The Financial Action Task Force is an intergovernmental organization with the primary objective of developing and promoting policies to combat money laundering, terrorist financing, and other related threats to the integrity of the international financial system. FATF sets international standards through its Recommendations, which countries are encouraged to implement in order to strengthen their legal, regulatory, and operational frameworks. The organization also monitors member countries' progress, identifies jurisdictions with strategic deficiencies, and conducts peer reviews through a process known as mutual evaluations.

"High-Risk third country" means a third country, designated by the Commission under the provisions of section 9(2) of the Directive of the EU by the issuance of acts by way of derogation, which presents strategical shortcomings in its national system for combating money laundering and terrorist financing which are considered as important threats for the financial system of the European Union, a country identified within the FATF statements as having strategic AML deficiencies or within the countries for increased monitoring and a third country, which is categorised by the Company as high-risk in accordance with the risk assessment foreseen by section 58A of the AML Law**.**

"MOKAS" means the Unit for Combating Money Laundering in the Republic of Cyprus, which is

responsible for receiving, requesting, analysing and disseminating disclosures of suspicious transactions reports and other relevant information concerning suspected ML or financing of terrorism activities.

"Joint Guidelines" means the guidelines on the risk factors issued by the European Securities and Markets Authority, the European Insurance and Occupational Pensions Authority and the European Banking Authority under Articles 17 and 18(4) of Directive (EU) 2015/849 on simplified and enhanced customer due diligence and the factors credit and financial institutions should consider when assessing the money laundering and terrorist financing risk associated with individual business relationships and occasional transactions, as amended.

"Persons known to be close associates" to a politically exposed person means: (a) Natural persons who are known to have joint beneficial ownership of legal entities or legal arrangement, or any other close business relations; and (b) Natural persons who have the sole beneficial ownership of a legal entity or legal arrangement which is known to have been set up for the de facto benefit of a politically exposed person.

"Politically Exposed Person (PEP)" means a natural person who is or who has been entrusted with prominent public functions and includes the following:

(a) heads of State, heads of government, ministers and deputy or assistant ministers; (b) members of parliament or of similar legislative bodies; (c) members of the governing bodies of political parties; (d) members of supreme courts, of constitutional courts or of other high-level judicial bodies, the decisions of which are not subject to further appeal, except in exceptional circumstances; (e) members of courts of auditors or of the boards of central banks; (f) ambassadors, chargés d'affaires and high-ranking officers in the armed forces; (g) members of the administrative, management or supervisory bodies of State-owned enterprises; (h) directors, deputy directors and members of the board or equivalent function of an international organisation; (i) mayors.

No public function referred to in points (a) to (i)shall be understood as covering middle- ranking or more junior officials.

Where a politically exposed person is no longer entrusted with a prominent public function by a Member State or a third country, or with a prominent public function by an international organisation, the Company, shall, for at least 12 months, be required to take into account the continuing risk posed by that person and to apply appropriate and risk sensitive measures until such time as that person is deemed to pose no further risk specific to politically exposed persons.

"Senior Management" means an officer or employee with sufficient knowledge of the Company's money laundering and terrorist financing risk exposure and sufficient seniority to take decisions affecting its risk exposure, and need not, in all cases, be a member of the Board of Directors.

"Shell bank" means a credit institution or financial institution, or an institution that carries out activities equivalent to those carried out by credit institutions and financial institutions, incorporated in a jurisdiction in which it has no physical presence, involving meaningful mind and management, and which is unaffiliated with a regulated financial group.

"Business relationship" means a business, professional or commercial relationship between the client and the Company that is linked to the business of the Company and is expected, by the Company at the time of the contact, to have an element of duration.

"Client" means any legal or physical person aiming to conclude a Business Relationship or conduct a single transaction with the Company.

"Third Party" means a credit institution or financial institution or auditors or accountants or tax advisors or independent legal professionals or persons providing to third parties trust and company services, falling under the EU Directive who operate in the Republic or other countries in the European Economic Area and which:

i. they are subject to mandatory professional registration, recognised by law; and

ii. they subject to supervision regarding their compliance with the requirements of the EU Directive;

A Third Party may be also any other person who is engaged in financial or other business or accountants or independent legal professionals or persons providing to third parties trust and company services and who operate in countries outside the European Economic Area and which according to the Company's internal assessment is considered as equivalent in terms of procedures and measures for the prevention of money laundering and terrorist financing to those laid down by the EU directive.

The terms financial institutions and persons engaged in financial business activities, for the purposes of the Third Party definition, do not include currency exchange bureaux.

"Proceeds" means any economic advantage deriving directly or indirectly from a criminal offense which may consist of any form of property and includes any subsequent reinvestment or conversion of direct products and any significant benefit.

"Privacy" means client information will be collected and retained in accordance with obligations under the Regulation (EU) 2016/679 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data and the national Law 125(I)/2018 as amended, providing for the protection of natural persons with regard to the processing of personal data and for the free movement of such data which repealed and replaced the Processing of Personal Data (Protection of Individuals) Law of 2001 (138(I)/2001).

1.6 Legal Framework

❖ *Cypriot Legal Framework*

The regulatory framework set in place by CySEC and implemented by the Company regarding Anti-MoneyLaundering (hereinafter, "AML") and Known Your Client (hereinafter, "KYC") and Client Due Diligence (hereinafter, "CDD") procedures, comprises of the following legislation:

- The Prevention and Suppression of Money Laundering and Terrorist Financing Law of 2007, Law 188(I)/2007, as amended (hereinafter, the "AML/CFT Law");
- CySEC's AML Directive regarding the prevention and suppression of Money Laundering and Terrorist Financing, as amended (hereinafter the "AML Directive");

Furthermore, any circulars, regulations, announcements and guidelines issued by CySEC in relation to AML issues are taken into consideration by the Company.

❖ *European Union Legal Framework*

- EU 4th AML Directive – Directive (EU) 2015/849 of the European Parliament and of the Council of 20 May 2015 on the prevention of the use of the financial system for the purposes of money laundering or terrorist financing;
- EU 5th AML Directive - Directive (EU) 2018/843 of the European Parliament and of the Council of 30 May 2018 amending Directive (EU) 2015/849 on the prevention of the use of the financial system for the purposes of money laundering or terrorist financing;
- EU 6th AML Directive - Directive (EU) 2018/1673 of the European Parliament and of the Council of 23 October 2018 on Combating Money Laundering by Criminal Law;
- EBA guidelines on policies and procedures in relation to compliance management and the role and responsibilities of the AML/CFT Compliance Officer under Article 8 and Chapter VI of Directive (EU) 2015/849; and
- EBA guidelines on customer due diligence and the factors credit and financial institutions should consider when assessing the money laundering and terrorist financing risk associated with individual business relationships and occasional transactions ('The Risk Factors Guidelines') under Articles 17 and 18(4) of Directive (EU) 2015/84;9
- Delegated regulation (EU) 2016/1675 on high risk countries, as amended from time to time.

❖ *Other International Laws and Regulations*

- EU restrictive measures (Restrictive Measures adopted by the Council of the EU via relevant Decisions and Regulations, within the framework of Common Foreign and Security Policy);
- UN sanction programmes (International Sanctions by a relevant Decision/Resolution adopted by the Security Council (SC/UN):
- US sanctions imposed by the Office of Foreign Assets Control (OFAC); and
- Other International standards and best practice guidelines published by the following international organisations:
  - ➢ Financial Action Task Force (FATF);
  - ➢ The Council of Europe Select Committee of Experts on the Evaluation of Anti-Money Laundering Measures (MONEYVAL);
  - ➢ The International Money Laundering Information Network (IMOLIN);
  - ➢ Basel Committee on Banking Supervision;
  - ➢ Transparency International;
  - ➢ World Governance.

Money laundering offences

In accordance with Article 4(1) of the AML/CFT Law, every person who (a) knows or (b) at the material time ought to have known that any kind of property constitutes proceeds from the commission of a predicate offence, carries out the following activities:

i. converts or transfers or removes such property for the purpose of concealing or disguising its illicit origin or of assisting in any way any person who is involved in the commission of the predicate offence to carry out any of the above actions or acts in any other way in order to evade the legal consequences of his actions;

ii. conceals or disguises the true nature, the source, location, disposition, movement of and rights in relation to, property or ownership of this property;

iii. acquires, possesses or uses such property;

iv. participates in, associates, co-operates, conspires to commit, or attempts to commit and aids and abets and provides counselling or advice for the commission of any of the offences referred to above;

v. provides information in relation to investigations that are carried out for laundering offences for the purpose of enabling the person who acquired a benefit from the commission of a predicate offence to retain the proceeds or the control of the proceeds from the commission of the said offence, commits a criminal offence and is punishable:

(a) by fourteen years' imprisonment or by a pecuniary penalty of up to Euro 500.000 or by both of these penalties in the case that he/she knows that any kind of property constitutes proceeds from the commission of a predicate offence and carries out one of the above mentioned activities and

(b) by five years' imprisonment or by a pecuniary penalty of up to Euro 50.000 or by both in the case that he/she at the material time ought to have known that any kind of property constitutes proceeds from the commission of a predicate offence and carries out one of the above mentioned activities.

Additionally and in accordance with Article 5 of the AML/CFT Law, "Predicate offences" are considered the following:

(a) All criminal offences punishable with imprisonment exceeding one year, as a result of which proceeds have been derived which may constitute the subject of a money laundering offence as defined by section 4 of the Law.

(b) Financing of Terrorism offences as these are specified in Article 4 of the Financing of Terrorism (Ratification and other provisions) Laws of 2001 and 2005, as well as the collection of funds for the financing of persons or organisations associated with terrorism.

(c) Drug Trafficking offences, as these are specified in section 2 of the law.

Enforcement and Penalties

The AML/CFT Law stipulates penalties for contraventions of various provisions of the AML/CFT Law.

Attached as Appendix X – Penalty Provisions is a "Guide to Penalties" which may be imposed. These penalties may be subject to change from time to time. This Annex contains all the penalty provisions, only some of which will be applicable to Capital.com.

2. Duties and responsibilities

2.1 The Anti - Money Laundering Compliance Officer (the "AMLCO")

In accordance with the relevant provisions of the AML Directive and CySEC's Circular C535, namely "*EBA Guidelines on policies and procedures in relation to compliance management and the role and responsibilities of the AML/CFT Compliance Officer under Article 8 and Chapter VI of Directive (EU) 2015/849*", the duties of the Company's AMLCO who reports directly to the Company's Board of Directors, include the following:

Design of measures, procedures and controls:

a. to design, based on the general policy principles of the Company mentioned in the present AML Manual, the internal practices, measures, procedures and controls relevant to the prevention of money laundering and terrorist financing, and describe and explicitly allocate the appropriateness and the limits of responsibility of each department that is involved in this process; the above, among others, include measures and procedures for the prevention of the abuse of new technologies and systems providing financial services, for the purpose of money laundering and terrorist financing. Furthermore, they also encompass measures so that the risk of money laundering and terrorist financing is appropriately considered and managed in the course of the daily activities of the Company, with regards to the development of new products and possible changes in the Company's business profile (e.g. penetration into new markets).

Development and establishment of Customers' Acceptance Policy and risk management and procedures manual:

a. to develop and establish the Customers' Acceptance Policy and submit it to the Board for consideration and approval, and review/ update it on an ad-hoc basis;
b. to prepare, review and update the risk-management and procedures manual (hereinafter, the "AML Manual"), regarding money laundering and terrorist financing, as may be required from time to time, and for such updates to be communicated to the Board of Directors for their approval.

Monitoring:

a. to monitor and assess the correct and effective implementation of the provisions in the AML Manual, and the practices, measures, procedures and controls of point (a) above. In this respect, the AMLCO applies appropriate monitoring mechanisms (e.g. on-site visits to different departments of the Company) which provide all the necessary information for assessing the level of compliance of the departments and employees of the Company with the procedures and controls which are in force. In the event that the AMLCO identifies shortcomings and/or weaknesses in the application of the required practices, measures, procedures and controls, the latter gives appropriate guidance for corrective measures and, where deemed necessary, informs the Board of Directors;
b. to monitor any cash deposits received by clients;

c. to ensure effective implementation of the Company's Risk-Based Approach and the adequate monitoring of clients' transactions.

Internal reporting procedures – Reporting to MOKAS:

a. to receive information from the Company's employees on suspicious cases for money laundering or terrorist financing activities. The information is received in a ticket within the ISR dedicated Jira project (the "Internal Suspicion Report", hereinafter, the "ISR"). The template of the jira project follows the specimen of such report included in the appendix of the AML Manual;
b. to evaluate and examine the information received by reference to other relevant information and discuss the circumstances of the case with the informer and, where appropriate, with the informer's superiors. The evaluation of the information of point (h) above shall be done on a report (the "Internal Evaluation Report", hereinafter the "IER"). A specimen of such report is included in the AML Manual;
c. If, following the evaluation, the AMLCO decides to notify MOKAS (i.e. the Financial Intelligence Unit of Cyprus) (hereinafter, the "Unit" or "MOKAS"), then he should submit a Suspicious Activities Report to the Unit as soon as possible. It is provided that, after the submission of the AMLCO Report to the Unit, the accounts involved and any other connected accounts, are closely monitored by the AMLCO and following any directions from MOKAS, thoroughly investigates and examines all the transactions of the accounts;
d. if following the evaluation the AMLCO decides not to notify MOKAS, then the AMLCO should fully explain the reasons for such a decision on the relevant IER;
e. to act as a first point of contact with the Unit, upon commencement of and during an investigation as a result of filing a report to the Unit according to point (j) above.

Preparation of a Clients List:

a. to ensure the timely preparation and maintenance of lists of Clients classified following the Company's risk-based approach (i.e. Low, Medium or High risk), which contains, among others:
   - the names of clients;
   - their Trading Account identification number;
   - the date of the commencement of the business relationship;
b. to maintain a registry with the data/information of the third parties that the Company relies upon for the application of client identification & screening procedures and the rest of the client due diligence measures.
c. Moreover, the AMLCO ensures the updating of the said list with all new clients or existing clients in the light of any additional information obtained.

Detection, recording and evaluation of risks and updating of procedures:

a. to detect, record, and evaluate, at least on an annual basis, all risks arising from existing and new clients, new products and services and update and amend the systems and procedures applied by the Company for the effective management of the aforesaid risks;
b. to evaluate the systems and procedures applied by a third person on whom the Company may rely for client identification and due diligence purposes and to approve the cooperation with it.

Training:

a. to provide advice and guidance to the staff of the Company on subjects related to money laundering and terrorist financing;
b. to acquire the knowledge and skills required for the improvement of the appropriate procedures for recognising, preventing and obstructing any transactions and activities that are suspected to be associated with money laundering or terrorist financing;
c. to determine whether and identify the Company's departments and employees that need further training and education for the purpose of preventing money laundering and terrorist financing and to organise appropriate training sessions/seminars. In this respect, the AMLCO prepares and applies an

annual staff training program. Also, the AMLCO assesses the adequacy of the education and training provided.

Reporting:

a. to prepare the Annual Report;
b. to prepare correctly and submit timely to CySEC the monthly prevention statements and provide the necessary explanation to the appropriate employees of the Company for its completion;
c. to respond to all requests and queries from the Financial Intelligence Unit and CySEC, and fully cooperate by providing all the requested information;
d. to maintain a registry which includes the following reports:
   - Internal Suspicion Reports;
   - Internal Evaluation Reports; and
   - Suspicious Activities Reports.

and any relevant statistical information (e.g. the department that submitted the internal report, date of submission to the AMLCO, date of assessment, date of reporting to the Unit), the evaluation reports and all the documents that verify the accomplishment of his duties.

Sources of information:
To consultdata, information and reports issued by the relevant International Organisations (i.e. FATF, Moneyval, CFSP, UN, IMOLIN and IMF).

2.2 Alternate/Deputy AMLCO

In accordance with the provisions of the AML Directive, the Company shall appoint an Alternate AML Compliance Officer, who should replace the AML Compliance Officer in cases he/she is absent. The Alternate AMLCO will substitute the AMLCO in such instances, handling all of his/her responsibilities and duties as per this AML Manual and in line with the the Law and Directive. The Alternate AMLCO is also appointed as the Deputy AMLCO handling his/her responsibilities and duties as per this AML Manual and in line with the Law and Directive, as instructed by the AMLCO, in the instances where the AMLCO is unable to do so.

The Company has disclosed the appointment of the Alternate/Deputy AMLCO to CySEC through the portal, along with that of the AML Officers, by submitting their names and contact details.

2.3 AML Team Members

In accordance with the Paragraph 8 of the AML Directive, the duties of the members of the AML Department include, *inter alia*, the following (depending on the level of position of each member):

a. to support the AMLCO in designing and implementing the Company's internal practices, measures, procedures and controls relevant to the prevention of money laundering and terrorist financing;
b. to escalate cases and issues related to the prevention of money laundering and terrorist financing to the AMLCO upon detection;
c. to support the AMLCO in the implementation of the Company's risk-based approach;
d. to support the AMLCO in analysing the clients' transactional information through manual and/or automated monitoring systems in order to identify risks, trends and potential suspicious activity related to money laundering or terrorist financing;
e. to support the AMLCO with the monitoring and assessment on the adequacy and effectiveness of the measures and procedures put in place and designed to detect any risk of failure by the Company to comply with its obligations under the AML/CFT legal and regulatory framework
f. to respond to AML/CFT compliance queries received from the Company's personnel and, if necessary, escalate the query to the AMLCO for his attention and actions;

g. to analyse any changes in the AML/CFT Law and Directive as well as European legal framework that impact the Company and its operations and provide suggested courses of action to the AMLCO for the necessary update of the Company's policies, controls, systems and/or procedures to ensure compliance with any newly introduced regulatory requirements;
h. to review, on a random sample basis, clients' files to ensure that the Customers' Acceptance Policy is properly implemented and that adequate records are kept by the Company;
i. to liaise with employees of other departments, on a regular basis, to get updates in relation to any changes in the situation/information of clients;
j. to assist the AMLCO regarding the performance of any review/investigation in relation to any internal suspicious transaction reports submitted by an employee; and
k. to acquire the knowledge and skills required for the improvement of the appropriate procedures for recognising, preventing and obstructing any transactions and activities that are suspected to be associated with money laundering or terrorist financing.

2.4 Board of directors

The overall responsibility for the prevention of money laundering and terrorist financing lies with the Board of Directors. The responsibilities of the Company's Board of Directors regarding the prevention and suppression of money laundering and terrorist financing, as these are stipulated in Section 58 of the AML/CFT Law as well as in the Paragraph 5 of the AML Directive, include the following:

1. Determines, records and approves the general policy principles of the Company in relation to the prevention of money laundering and terrorist financing and communicates them to the AMLCO;
2. Appoints an AMLCO, the alternate AMLCO and, where this is deemed necessary, assistant AMLCO, and determines their duties and responsibilities, which are recorded in this AML Manual;
3. Designates either an executive or non-executive member of the board of directors, who shall be responsible for the implementation of the provisions of Article 58D of the AML Law and any additional tasks, where necessary, taking into account the nature and size of the activities of the Company;
4. Appoints an Alternate AML Compliance Officer who substitutes the AML Compliance Officer in case of his/her absence and communicate his appointment to CySEC, providing his/her name, position and contact details;
5. Approves the AML Manual, which is communicated to all employees of the Company that manage, monitor or control in any way the customers' transactions and have the responsibility for the application of the practices, measures, procedures and controls that have been determined;
6. Ensures that all requirements of the AML Law and of the AML Directive are applied, and assures that appropriate, effective and sufficient systems and controls are introduced for achieving the above mentioned requirement;
7. Assures that the AMLCO, the alternate AMLCO, his assistants and any other person who has been assigned with the duty of implementing the procedures for the prevention of money laundering and terrorist financing, have complete and timely access to all data and information concerning customers' identity, transactions' documents and other relevant files and information maintained by the Company, so as to be fully facilitated in the effective execution of their duties;
8. Ensures that all employees/directors are aware of the person who has been assigned the duties of the AMLCO, as well as his assistants, to whom they report any information concerning transactions and activities for which they have knowledge or suspicion that might be related to money laundering and terrorist financing;
9. Establishes a clear and quick reporting chain based on which information regarding suspicious transactions is passed without delay to the AMLCO, either directly or through his assistants, and notifies accordingly the AMLCO and alternate AMLCO for its explicit prescription in the Manual;
10. Ensures that the AMLCO and the alternate AML compliance officer has sufficient resources, including competent staff and technological equipment, for the effective discharge of his duties;

11. Assesses and approves the Annual AMLCO Report prepared by the AMLCO and takes all actions as deemed appropriate under the circumstances to remedy any weaknesses and/or deficiencies identified.
12. Approves the Customers' Acceptance Policy.

2.5 Designated Board Member for the purposes of AML

According to Article 58D of the AML/CFT Law and Circular C535, the Company has designated a member of the Board of Directors, which isresponsible for the implementation of the provisions of the AML Law and of the Directives and/ or Circulars and/ or Regulations issued pursuant thereto including any relevant acts of the European Union.

The designation was documented via relevant Board meeting minutes and disclosed to CySEC through the portal.

The responsibilities of the designated Board Member include the following:

a) ensuring that the AML/CFT policies, procedures and internal control measures are adequate and proportionate, taking into account the characteristics of the Company and the ML/TF risks to which it is exposed;

b) carrying out with the Board the assessment of whether it would be appropriate to appoint a separate AML/CFT compliance officer at management level;

c) supporting the Board in assessing the need for a dedicated AML/CFT unit to assist the AML/CFT compliance officer in carrying out his/her functions, taking into account the scale and complexity of the Company's operations and exposure to the ML/TF risks.

d) ensuring that there is periodical reporting to the Board on the activities carried out by the AML/CFT compliance officer and that the Board is provided with sufficiently comprehensive and timely information and data on ML/TF risks and AML/CFT compliance, which is necessary to allow the Board to carry out the role and functions entrusted to it. Such information should also cover the Company's engagements with CySEC and communications with MOKAS, without prejudice to the confidentiality of STRs, and any ML/TF-related findings of CySEC against the Company including measures or sanctions imposed;

e) informing the Board of any serious or significant AML/CFT issues and breaches and recommending actions to remedy them;

f) ensuring that the AML/CFT compliance officer:

(i) has direct access to all the information necessary to perform his/her tasks,

(ii) has sufficient human and technical resources and tools to be able to adequately perform the tasks assigned to them, and

(iii) is well informed of the AML/CFT-related incidents and shortcomings identified by the internal control systems and by the national and foreign supervisory authorities where applicable.

2.6 Senior management

The responsibilities of the Senior Management in regards to the prevention of money laundering and terrorist financing include the following:

A. take the necessary measures to ensure the rectification of any weaknesses and omissions detected by the Internal or External Auditors and verifying the level of compliance with the provisions of the Directive and the relevant AML legislation. Provide their full commitment and support for the successful establishment of systems and controls, on a risk-based approach;

B. approve the policies, procedures and controls in relation to money laundering and terrorist financing, as well as monitor, and where appropriate, enhance the measures adopted;
C. provide their approval for the establishment and continuation of a business relationship with PEP clients and, where deemed appropriate, other types of high risk clients.

The AMLCO shall be considered as a member of Senior management. As per the AML Law, senior management refers to an officer or employee with sufficient knowledge of the entity's money laundering and terrorist financing risk exposure and sufficient seniority to take decisions affecting its risk exposure, regardless of whether or not such person is a member of the entity's board of directors.

2.7 Internal Auditor

The Internal Auditor of the Company has the following obligations in relation to the prevention and suppression of money laundering and terrorist financing, under the provisions of this AML Manual:

1. The Internal Auditor is responsible for reviewing and evaluating, at least on an annual basis, the appropriateness, effectiveness and adequacy of the policy, practices, measures, procedures and control mechanisms applied for the prevention of money laundering and terrorist financing. The findings and observations of the Internal Auditor are submitted in a written report form to the Board of Directors, which decides the necessary measures that need to be taken to ensure the rectification of any weaknesses and/or deficiencies which have been detected. The minutes of the abovementioned decision of the Board of Directors and the Internal Auditor's report are submitted to the Commission within twenty days from the date of the relevant meeting and not later than four months from the end of the calendar year. In general, the Internal Auditor is responsible:

   a) To establish, implement and maintain an audit plan to examine and evaluate the adequacy and effectiveness of the Company's policy, practices, measures, procedures, systems, internal control mechanisms and arrangements;

   b) To issue recommendations based on the result of work carried out in accordance with point (a);

   c) To verify compliance with the recommendations referred to in point (b); and

   d) To report in relation to internal audit matters on a frequent basis, and at least annually.

2. The Internal Auditor is accountable directly to the Board of Directors. All procedures at all levels of the hierarchy of the Company are the object of systematic audit control. Audits are carried out on a regular basis, while extraordinary spot audits are to be carried out without notice.

In the course of his/hers investigations and audits, the Internal Auditor has access to all the Company's records, files and documents and may seek the assistance of any of the Company's employees, who are expected to provide it.

3. Risk Based Approach

3.1 Theory

Based on the Company's operations, the ML/TF risks that the Company is exposed are included in the attached latest Business Wide Risk Assessment (BWRA). The BWRA plays a crucial role in forming a RBA to AML procedures by enabling the Company to identify, assess, and understand the specific money laundering and terrorist financing risks it faces. Through the BWRA, the Company evaluates factors such as client profiles, geographic locations, products, services, and transaction channels. This comprehensive assessment informs the development of proportionate AML policies, procedures, and controls, allowing the company to allocate resources more effectively and apply enhanced measures where higher risks are identified, while simplifying processes in lower-risk areas.

The AMLCO shall monitor and evaluate, on an ongoing basis, the effectiveness of the measures and procedures of this Section of the AML Manual.

In particular, the adopted RBA that is followed by the Company has the following characteristics:

1. Recognises that the money laundering or terrorist financing threat varies across clients, countries, services and financial instruments;
2. Allows the Board to differentiate between Clients of the Company in a way that matches the risk of their particular business;
3. Allows the Board to apply its own approach in the formulation of policies, procedures and controls in response to the Company's particular circumstances and characteristics.
4. Assists to product a more cost-effective system;
5. Promotes the prioritisation of effort and actions of the Company in response to the likelihood of money laundering and terrorist financing occurring through the use of the investment and ancillary services.

It shall be noted that the Risk-based approach is a continuous process, carried out on a dynamic basis. Clients' activities change as well as the financial instruments and the transactions used for money laundering or terrorist financing. The measures, procedures and controls defined in this Manual are kept under regular review so that risks resulting from changes in the characteristics of existing Clients and new Clients are managed and countered effectively.

The application of the RBA to terrorist financing has both similarities and differences compared to money laundering. They both require a process for identifying and assessing risk. However, the characteristics of terrorist financing mean that the risks may be difficult to assess and the implementation strategies may be challenging due to considerations, such as the relatively low value of transactions involved in terrorist financing, or the fact that funds can come from legal sources.

The risk-based approach adopted by the Company involves specific measures and procedures in assessing the most cost-effective and appropriate way to identify and manage the money laundering and terrorist financing risk faced by the Company. Such measures include:

A. Identifying and assessing the money laundering and terrorist financing risks emanating from particular clients or types of clients, financial instruments, services, as well as geographical areas of the clients.
B. Adherence to the policies, procedures and controls in place by the AMLCO while managing and mitigating the assessed risks by the application of appropriate and effective measures, procedures and controls.
C. Continuous monitoring and improvements in the effective operation of the policies, procedures and controls. The AMLCO has the responsibility to identify, record and evaluate all potential risks. The successful establishment of measures and procedures on a risk-based approach requires the clear communication of the measures and procedures that have been decided across the Company, along with robust mechanisms to ensure that these are implemented effectively, weaknesses are promptly identified, and improvements are made wherever necessary.

The Company shall assess and evaluate the risk it faces, for usage of the services provided for the purpose of money laundering or terrorist financing. The particular circumstances of the Company, determine the suitable procedures and measures that need to be applied to counter and manage risk. The identification, recording and evaluation of risk that the Company faces presupposes the finding of the risk posed by the Company's clients and clients' behaviour, the way the Clients communicated the Company and the risk posed by the services and financial instruments provided to the Clients.

The Customer Due Diligence ("CDD") policy objectives are to ensure the effective "identification", "verification" and "monitoring" of Clients, and the financial transactions in which they engage, in

accordance with the risks of money laundering and terrorist financing that they pose. These three core notions of "identification", "verification" and "monitoring" are interrelated and reinforce each other to build knowledge of the Client that is crucial from an AML/CFT perspective.

3.2 Implementation

It is essential that the Company has appropriate systems and controls in place to ensure that it is not used as a vehicle for financial crime. Having sufficient information about the customer and making use of that information underpins all other money laundering prevention procedures and is the most effective weapon against the firm being used to launder the proceeds of crime.

In respect to the systems and controls, the Company has taken reasonable care to establish and maintain such systems and controls as are appropriate to its business. Their nature and extent depend upon a variety of factors including:

A. The scale and complexity of the services;
B. Geographical spread of the services and Clients;
C. The nature (e.g. non-face to face Client) and economic profile of Clients as well as of financial instruments and services offered;
D. The distribution channels and practices of providing services;
E. The volume and size of transactions;
F. The degree of risk associated with each area of services;
G. The country of origin and destination of Client's funds;
H. Deviations from the anticipated level of transactions; and
I. The nature of business transactions.

In addition to the above, the Company shall ensure that the systems and controls include:

1. appropriate training for its employees in relation to money laundering;
2. appropriate provision of information to its governing body and senior management, including a report at least annually by the AMLCO on the operation and effectiveness of those systems and controls;
3. appropriate documentation of its risk management policies and risk profile in relation to money laundering, including documentation of its application of those policies;
4. appropriate measures to ensure that money laundering risk is taken into account in its day-to-day operations, including in relation to: a) the development of new products, b) on-boarding new customers, c) changes in its business profile; and
5. appropriate measures to ensure that procedures for identification of new customers do not unreasonably deny access to its services to potential customers who cannot reasonably be expected to produce detailed evidence of identity.

3.3 Factors to determine risks

In order to determine the potential money laundering and terrorist financing risks, the following factors are taken into consideration for the risk categorisation of clients (section 3.6), based on the Company's risk-based approach:

A. Customer risk factors
B. Countries and geographical areas risk factors
C. Product, services and transaction risk factors
D. Delivery Channels risk factors
E. Other Qualitative Risk Factors & Emerging risks:

Capital.com also takes into account the risk factors stated in the EBA Guidelines, as well as the FATF Risk based Approach Guidance for the Securities Sector.

A. Customer Risk Factors

When identifying the risk associated with customers, Capital.com considers the risks related to:

a) the client's and the client's beneficial owner's business or professional activity;
b) the client's and the client's beneficial owner's reputation; and
c) the client's and the client's beneficial owner's nature and behaviour.

The Company takes an overall account of a client's background, occupation, characteristics of social and economic activities and an entity's organisation type and structure, to identify potential client's ML/TF risk with regards to his/her transactional activity.

Specific examples of customer risk factors reducing risk:

a) Public Companies listed on a stock exchange and subject to disclosure requirements (either by stock exchange rules or through law or enforceable means), which impose requirements to ensure adequate transparency of beneficial ownership;
b) Public administrations or enterprises;
c) Institutional client whose status has been verified by an EEA government agency (e.g. government-approved persons scheme); and
d) Firms in an EEA country or a third country that has AML/CFT requirements that are not less robust than those required by the 4th EU AML Directive.

Specific examples of customer risk factors indicating higher risk:

a) Business relationship is conducted in unusual circumstances and/or unusual behaviours;
b) The rationale for the investment lacks an obvious strategy or economic purposes or the customer makes investments that are inconsistent with the Client's overall financial situation, where this is known to the Company;
c) Clients who obtained Cypriot nationality from the Cyprus Investment Program;
d) Legal persons or arrangements that are personal asset-holding vehicles;
e) Legal persons that have nominee shareholders or shares in bearer form;
f) Businesses that are cash-intensive;
g) Ownership structure of the legal person appears unusual or excessively complex given the nature of its business;
h) Use of complex business structures such as trusts and private investment vehicles, particularly where the identity of the ultimate beneficial owner may be unclear;
i) Clients with income and/or wealth from high-risk sectors such as:
    - construction;
    - pharmaceuticals and healthcare;
    - arms trade, defence and military;
    - atomic power;
    - unregulated charities;
    - regulated charities;
    - adult entertainment;
    - non-government organisations;
    - marijuana;
    - embassies/consulates;
    - gambling;
    - payment service provider;
    - extractive industries or public procurement;
j) Clients who expect unusually high levels of confidentiality or discretion.

B. Geographical risk factors

When identifying the risk associated with countries and geographical areas, Capital.com considers the risk related to:

a) the jurisdictions in which the client and beneficial owner are based;
b) the jurisdictions that are the client's and beneficial owner's main places of business; and
c) the jurisdictions to which the client and beneficial owner have relevant personal links.

The Company considers the effectiveness of its controls to monitor, detect and address any risks posed by its client geographic presence and jurisdiction in which they are operating. This includes, inter alia, having controls in place to assess the following:

- the geographic location of the client's business or economic activity;
- the source and destination of the client's funds;
- the country/jurisdiction of the client's nationality and residency;
- the country/jurisdiction subject to sanctions, embargoes or comparable measures, for example imposed by the United Nations, the European Union or the United States; and
- the country/jurisdiction known to have a weak AML/CFT regime.

Specific examples of geographical risk factors which may contribute reducing the risk*:*

Clients originate from:

a) Member States;
b) third countries having effective AML/CFT systems;
c) third countries identified by credible sources as having a low level of corruption or other criminal activity;
d) third countries which, on the basis of credible sources such as mutual evaluations, detailed assessment reports or published follow-up reports, have requirements to combat money laundering and terrorist financing consistent with the revised FATF Recommendations and effectively implement those requirements

Specific examples of geographical risk factors indicating higher risk:

Clients originate from:

a) Countries identified by credible sources, such as mutual evaluations, detailed assessment reports or published follow-up reports as:

    i. Not having effective AML/CFT systems;

    ii. Having significant levels of corruption or other criminal activity.

b) Countries subject to sanctions, embargos or similar measures issued by, for example, the European Union or the United Nations; (in accordance with Paragraph 36 of the AML Directive, the Company shall monitor the UN and EU Sanctions and Restrictive Measures and in case identifies that it maintains a business relationship with a Client that falls within Sanctions Regimes or a potential Client is indicated in the relevant sanctions lists, then the Company shall terminate or refuse to establish the business relationship).
c) Countries providing funding or support for terrorist activities, or that have designated terrorist organisations operating within their country;
d) Clients' monies have been generated in jurisdictions associated with higher money laundering and terrorism financing risk, in particular those associated with higher levels of predicate offences to money laundering.

e) Countries identified by credible sources, such as mutual evaluations, detailed assessment reports or published follow-up reports, as not having effective AML/CFT systems;
f) Countries with reputational issues as bank secrecy heavens and politically unstable regimes.
g) Clients or beneficial owners of Clients who reside in a Member state or Third Country and have applied for a Cyprus nationality through the Cyprus Investment Program.

The Company acknowledges that the nature and purpose of the Business Relationship will often determine the relative importance of individual countries and geographical risk factors. For example:

▪ where the funds used in the business relationship have been generated abroad, the level of predicate offences to money laundering and the effectiveness of a country's legal system will be particularly relevant;

▪ where funds are received from, or sent to, jurisdictions where groups committing terrorist offences are known to be operating, it should be considered to what extent this could be expected to or might give rise to suspicion, based on what the firm knows about the purpose and nature of the business relationship;

▪ where the client is a credit or financial institution, firms should pay particular attention to the adequacy of the country's AML/CFT regime and the effectiveness of AML/CFT supervision;

▪ where the client is a legal vehicle or trust, the extent to which the country in which the customer and, where applicable, the beneficial owner are registered effectively complies with international tax transparency standards should be taken into account.

In addition to the above concrete factors, when assessing geographic risk, the Company uses its own country assessment with regards to the treatment of, and compliance with, sanctions or restrictive measures imposed on countries, territories, entities, or specific persons and bodies by the EU, UN and the OFAC. The Country Risk Assessment is drawn up on the basis of each country's economic, financial, and political risks and it provides useful input into the Company's in-house risk assessment process.

C. Products, services and transactions risk factors

When identifying the risk associated with products, services or transactions, Capital.com considers the risk related to:

a) the level of transparency, or opaqueness, the product, service or transaction affords;
b) the complexity of the product, service or transaction;
c) the value or size of the product, service or transaction.

The Company takes into consideration the risk of ML/TF associated with the Company's portfolio of main products, services and transactions offered to its clients.

Particular product, service and transaction risk factors taken into consideration:
a) Size of transactions undertaken by Clients;
b) Transactions that relate or may be connected with relate to oil products, guns, precious metals or other high risk or cash intensive businesses.
c) Size of Client's investments (i.e. deposits) and method of Client funding (e.g. from an EU/EEA Bank account belonging to the Client)
d) Payment received from unknown or un-associated third parties (so-called third-party deposits).

The following product, service and transaction factors may contribute increasing the risk:
▪ products or services that may inherently favour anonymity or obscure information about underlying client's transactions;
▪ the geographical reach of the product or service offered, such as those emanating from higher risk jurisdictions;

▪ products with unusual complexity or structure and with no obvious economic purpose;
▪ products or services that permit the unrestricted or anonymous transfer of value to an unrelated third party, particularly those residing in a higher risk jurisdiction;
▪ use of new technologies or payment methods not used in the normal course of business by the securities provider;
▪ products that have been particularly subject to fraud and market abuse, such as low-priced securities;
▪ a request is made to transfer funds to a higher risk jurisdiction/country/corridor without a reasonable business purpose provided;
▪ a transaction is requested to be executed, where the securities provider is made aware that the transaction will be cleared/settled through an unregulated entity.
▪ transactions related to oil, arms, precious metals, tobacco products, cultural artefacts and other items of archaeological, historical, cultural and religious importance, or of rare scientific value, as well as ivory and protected species
▪Transactions that are complex and unusually large transactions, and all unusual patterns of transactions, which have no apparent economic or lawful purpose

D. Delivery channel risk factors

When identifying the risk associated with the way in which the client obtains the products or services they require, Capital.com considers the risk related to:

i. the extent to which the business relationship is conducted on a non-face-to-face basis; and

ii. any introducers or intermediaries the Company might use and the nature of their relationship with Capital.com.

The following factors may contribute increasing the risk:

- anonymous transactions;
- payment received from unknown or un-associated third parties;
- use of third party agents or overseas intermediaries, for example:
  - ➢ intermediaries suspected of criminal activities, particularly financial crimes or association with criminal associates;
  - ➢ intermediaries located in a higher risk country or in a country with a weak AML/CFT regime;
  - ➢ intermediaries serving high-risk customers without appropriate risk mitigating measures;
  - ➢ intermediaries with a history of non-compliance with laws or regulation or that have been the subject of relevant negative attention from credible media or law enforcement;
  - ➢ intermediaries that have weak AML/CFT controls or operate substandard compliance programmes, i.e. programs that do not effectively manage compliance with internal policies and/or external regulation or the quality of whose compliance programmes cannot be confirmed.

E. Other Qualitative Risk Factors & Emerging risks:

The AMLCO considers other relevant risk factors when assessing risk before concluding the overall risk level. There are other qualitative factors and emerging risks that can affect the Company's inherent risk and therefore should be considered during the ML/FT risk assessment. In this regard, the
Company takes into consideration the following additional risk factors and other qualitative criteria in its risk assessment:

● Significant strategy and operational changes such as:
- the introduction of new products or services or channels;

● Regulatory changes and findings such as:
- AML regulatory changes;
- findings from regulatory inspection;
- national risk assessment: sector-specific findings (i.e. findings of the Cyprus national risk assessment).

● Internal Inspections and desk-based reviews such as:
- internal audit findings;
- MLCO inspections and testing results.

● Other:
- client base stability;
- integration of IT systems;
- AML compliance employee turnover;
- projects and initiatives related to AML compliance matters;
- expected account/client growth;
- expected revenue growth;
- reliance on third party providers;
- relevant enforcement actions.

In relation to the above factors, it should be highlighted that, despite the fact that the Company's Clients are non-face-to-face, the Company considers the above mentioned factors as efficient and sufficient safeguards which eliminate the risk of being involved in money laundering or terrorist financing activities.

3.4 Weighting risk factors

When weighting risk factors, the Company should make an informed judgement about the relevance of different risk factors in the context of a business relationship. When weighting risk factors, it should be ensured that:

- weighting is not unduly influenced by just one factor;
- economic or profit considerations do not influence the risk rating;
- weighting does not lead to a situation where it is impossible for any business relationship to be classified as high risk;
- the provisions of Directive (EU) 2015/849 as amended or national legislation regarding situations that always present a high money laundering risk cannot be overruled by the firm's weighting; and
- they are able to override any automatically generated risk scores where necessary. The rationale for the decision to override such scores should be documented appropriately.

3.5 Risk Score Calculator

In relation to the aforementioned, the Company has established a risk based scoring methodology which assists in the determination of the risk categorisation of each Client. The said methodology i.e. the factors taken into consideration and their respective weighting can be traced in Appendix I.

The weight assigned to each risk factor to ascertain the overall total risk rating of each client is judgmental and based on the non-exhausting list of risk factors stated in this section of the manual. The scoring uses a negative point system in addition to the positive points attributing to the risk classification of a Client. In particular, the higher the points attributed to a Client, the higher the assessed AML/CTF risk.

Clients satisfying any of the below attributes should be classified as High-Risk by default:

a. Politically Exposed Persons (PEPs);

b. Client is marked as High Risk by the AML/Compliance Department;
c. Client denotes suspicious activity;
d. Client is a resident in a country designated as High risk according to the Company's risk assessment;

3.6 Clients Risk Classification

Following its risk assessment, the Company categorises its business relationships according to the perceived level of ML/TF risk. The Company categorises risk into three (3) main risk levels; Low, Medium and High.

Low Risk: This represents the baseline risk of ML/TF and includes risk factors of potentially lower risk situations relating to types of customers, geographic areas, and particular products, services, transactions or delivery channels.

Following the above, below are listed some of the factors contributing to clients being categorised by the Company as low risk, based on the Clientele of the Company:

- Legal entity Clients that are autthorised and regulated within the EU/EEA;
- Clients being nationals and residents of member states of EU/EEA;
- Clients transferring funds to the Company through financial and/or credit institutions established and regulated in the EEA or in equivalent jurisdiction ;

Medium Risk: This represents the expected risk of ML/TF where normal rules apply. Normal CDD measures and procedures apply to identify and verify a customer classified as medium risk.

High Risk: This represents the level whereby there are increased risks of ML/TF. Factors that could potentially increase the risk include the following:

- clients that are resident in geographical areas of higher risk as assessed by the Company;
- clients whose businesses/occupatios are cash-intensive;
- Politically Exposed Persons;

The risk level is high, hence the Company should apply more stringent controls in order to reduce the risk to an acceptable level and be able to effectively mitigate it. In such a case the Company should conduct Enhanced Due Diligence procedures (hereinafter, "EDD") and more rigorous transaction monitoring. More detailed information as to the EDD measures applied by the Company is provided in Section 5.5 below.

It shall be noted though, that, EDD measures cannot be substituted for regular Customer Due Diligence (hereinafter, "CDD") measures but must be applied in addition to regular CDD measures. It is important to note that independently of the risk assessment carried out by the Company, in accordance with Article 64 of the AML/CFT Law, there will be specific cases that the Company must treat as high risk, as also noted in the section above.

The decision to classify a potential Client either of low, medium or high risk, must be justified on the basis of the risk factors set out in detail in Section 3.3 above.

The decision for the categorisation of a potential client is taken on the basis of the predetermined procedures which are approved by the Board of Directors documented by appropriate records, clearly indicating the factors assessed. It should be clarified that the aforementioned risk factors are not exhaustive, nor it is expected that the Company will consider all risk factors in all cases.

3.7 Source of Information to identify and assess Money Laundering and Terrorist Financing risks

Information about these ML/TF risk factors come from a variety of sources, whether these are accessed individually or through commercially available tools or databases that pool information from several sources.

More specifically, on implementing appropriate measures and procedures on a risk-based approach and on implementing the customer identification and due diligence procedures, the AMLCO, consults data, information and reports that are published in the following relevant international organisations:

1. Customers from countries which inadequately apply Financial Action Task Force's (FATF) RecommendationsFATF - www.fatf-gafi.org;
2. Country assessment reports issued by the Council of Europe Select Committee of Experts on the Evaluation of Anti-Money Laundering Measures (MONEYVAL) -www.coe.int/moneyval ;
3. the EU Common Foreign & Security Policy (CFSP) - http://ec.europa.eu/external_relations/cfsp/sanctions/list/consol-list.htm ;
4. the UN Security Council Sanctions Committees - www.un.org/sc/committees ;
5. the International Money Laundering Information Network (IMOLIN) - www.imolin.org ;
6. the International Monetary Fund (IMF) – www.imf.org ;
7. the Joint Committee European Supervisory Authorities-https://esasjoint-committee.europa.eu/ ;
8. the EU Sanctions Map - https://www.sanctionsmap.eu/#/main ;
9. the Ministry of International Affairs regarding United Nations Security Council Resolutions or Decisions (Sanctions) and Council of Europe Decisions and Regulations (Restrictive Measures). http://www.mfa.gov.cy/mfa/mfa2016.nsf/mfa35_en/mfa35_en?OpenDocument

4. Customers' Acceptance Policy

The Customer Acceptance Policy outlines the principles and criteria that guide the company in determining whether to establish or maintain a business relationship with a prospective or existing customer. This policy is a fundamental component of the company's overall Anti-Money Laundering (AML) framework and is designed to ensure that all customers are subject to appropriate due diligence measures prior to acceptance. Ultimately, the policy aims to prevent the company from being used, intentionally or unintentionally, for money laundering, terrorist financing, or other financial crimes, while maintaining compliance with applicable laws and regulations.

When accepting a new client, the Company is required to have satisfactory information/documentation of a Client's identity, economic profile and financial background, in order to provide an effective service. The Company requires all clients contemplating to enter into an agreement with the Company by completing the account opening Questionnaire which is tailored to extracting this information.

More specifically, through the online account application process, Capital.com is obtaining the required client identification and due diligence information (i.e. full name, address, telephone number, email address, date of birth, place of birth, nationality, etc.) as well as the necessary information for the construction of the clients' economic profile.

Within the provisions of the Customers' Acceptance Policy, the following are explicitly defined:

(a) The criteria for accepting the subscription of new investors;

(b) Categories of clients who are not acceptable for establishing a business relationship with the Company and

(c) The criteria for categorisation of clients on a risk basis in the three main categories:

i. Low Risk Clients;

ii. Medium Risk Clients; and

iii. High Risk Clients.

As per point (c) and the criteria taken into consideration for the risk categorisation of a client, a detailed analysis has been presented in Section 3.3 above.

All fields on the online account opening form are mandatory, thus, potential clients cannot submit their application without completing all application fields. In addition, potential clients need to agree and accept the Company's terms and conditions of business, its regulatory policies, as well as risk disclosures and warnings, if applicable, in order to be able to successfully submit their application for the establishment of a business relationship with the Company.

4.1 Criteria for accepting new clients

The Company's Back-Office Department is responsible for ascertaining the clients' identity in accordance with the Company's procedures and in line with AML/CTF regulations when establishing the business relationship as determined under section 5 below. In particular, the Back-Office Department is involved in the procedure for the collection of the necessary client identification and due diligence documents and information in accordance with the Company's Customers' Acceptance Policy.

The following criteria are required to be fulfilled by the Company in order to be in a position to accept a new Client:

1. Completion of the Company's registration process, which includes obtaining information with respect to the client's economic profile and performance of the Appropriateness Test and Target Market Assessment.

2. Where the Client is a prospective Client, an account can be verified only after the relevant pre-account opening due diligence and identification measures and procedures have been conducted, according to the principles and procedures set out in this Manual;

3. The Company shall classify clients into various risk categories on a risk-based approach and based on the risk perception shall decide on the acceptance criteria for each category of Client;

4. All documents and data described in the AML Manual must be collected before accepting/verifying a new Client in accordance with Section 5.6 of this Manual;

5. No account shall be opened unless the prospective Client's identification information can be fully verified. Where the risk of money laundering and terrorist financing is identified to be higher (e.g.. for PEPs and Clients whose nature of business is considered as high risk), the client's account will need to be approved by the AMLCO and the Senior Management, as applicable.

4.2 Non-acceptable clients

The following categories of clients are deemed as unacceptable for the purposes of establishing a business relationship with the Company due to the high risk of money laundering and terrorist financing associated with them and/or due to regulatory requirements imposed by the respective regulatory authorities:

1. Clients who fail or refuse to submit the requisite data and information for the verification of their identity and construction of their economic profile, without adequate justification;

*It shall be noted that, failure or refusal by a client to submit before the establishment of a business relationship, the information for identification of his/her identity and creation of an economic profile, constitute elements that may lead to creation of a suspicion that the Client is involved in money laundering or terrorist financing. However, it should be noted that the Company's systems do not allow for any client to be onboarded without the provision of the said information.

2. Clients who attempt to open anonymous accounts or accounts with fictitious names or accounts in the names of third parties;

3. The Company will NOT accept Clients permanently residing in the countries as defined within the Company's risk appetite statement approved by the Company's Board of Directors.

4. Clients (natural or legal persons) who are under sanctions (or their close associates, relatives).

5. Clients (legal entities) that are denoted as charities;

6I . Clients (natural or legal persons) that are involved in the following activities:

- Drugs
- Prostitution Earnings
- Military weapons and/or equipment
- Money Laundering
- Terrorist Financing

7 . Clients who are connected (i.e. owners or directors) with legal entities, or legal entities that are operating in any of the industries mentioned below or have any of such characteristics:

- Weapon manufacturers;
- Unregulated 'non-profit' organisations;
- Shell banks and credit institution or financial institution that is known to allow its accounts to be used by a shell bank or shell companies;
- Betting;
- Bank note traders;
- Casinos;
- Money transfer agents;
- Accounts of unincorporated businesses, partnerships and other persons with no legal subance
- Unlicensed service providers;
- Anonymous or Numbered Accounts.

8. Proceeds of criminal activities: It is forbidden to establish a business relationship or conduct transactions with:
   - Persons, groups of persons or legal persons involved or there is reasonable suspicion that they are involved in criminal activities or are members of a criminal or terrorist organisation or support such an organisation;
   - Persons for whom we know that they have been convicted or prosecuted for criminal offences, including but not limited to drug trafficking, corruption, misappropriation of public funds, money laundering, terrorism or terrorist financing.
   - Sanctioned Entities: It is forbidden to establish a business relationship or conduct transactions or provide services with: Persons and/or Entities against which sanctions (EU, UN, US/OFAC) have been imposed.
9. Any other types of investors that the Company at its own discretion deems that exposes the Company to a significant risk of money laundering and terrorist financing as per the provisions of its risk-based approach, determined under section 3 of this AML Manual.

4.3 Types of customers requiring the approval of the AMLCO and/or Senior Management and/or the Board of Directors

The Company's clientele is composed, mainly, by individual investors (i.e. natural persons) and, to a lesser extent, legal entity clients. It is very rare for other types of customers to apply for the establishment of a business relationship.

Notwithstanding the above, the following types of customers may open a trading account with Capital.com and the AML/CFT Compliance Officer will be responsible for reviewing and approving their application for the establishment of a business relationship:

- ‘Politically Exposed Persons’ (PEPs) accounts;
- Clients from declined countries as listed within the risk appetite statement;

It shall be further noted that for establishing or continuing a business relationship with the above categories of Clients Senior Management approval is required. It should be noted that for continuing the business relationship with a PEP, Board of Directors approval is also required.

5. Customer’s Identification and Due Diligence Procedures

5.1 Application of customer due diligence and identification procedures

In accordance with Article 60 of the AML/CFT Law, the Client’s identification and due diligence procedures should be applied, among others, in the following cases:

a. When establishing a business relationship;
b. When carrying out an occasional transaction which: (i) amounts to an amount equal to or higher than fifteen thousand euro (€15,000) whether the transaction is carried out in a single operation or in several operations which appear to be linked; or (ii) constitutes a transfer of funds as defined in section 3 (9) of Regulation (EU) 2015/847 of an amount exceeding one thousand euro (€1.000);
c. When there is a suspicion of money laundering or terrorist financing, regardless of the amount of the transaction and leads to the client being categorised as higher risk;
d. When there are doubts about the veracity or adequacy of previously client identification data.

With respect to the above, for compliance with regulatory provisions, the Company applies customer identification and due diligence procedures before the verification of the client account - i.e. before any transactions or trading activity is undertaken.

Further, Client identification and due diligence procedures must be followed at all times, and it must be ensured that the Client Identification records remain completely updated with all relevant information.

5.2 Ways of applying customer due diligence and identification procedures

In accordance with Article 61(1) of the AML/CFT Law and following the evaluation of the risks that are expected to be faced by the Company (as described in Section 3) based on the nature of its business activities and acceptable clients, the below Client’s due diligence measures were designed, namely:

a) Identification and verification of the customer's identity on the basis of documents, data or information obtained from a reliable and independent source;
b) Identification of the beneficial owner and taking reasonable measures to verify that person's identity so that the Company is satisfied that it knows who the beneficial owner is, including, as regards legal persons, trusts, companies, taking reasonable steps to understand the structure of the customer ownership and control;
c) Assessment and, as appropriate, obtaining information on the purpose and intended nature of the business relationship;
d) Ongoing monitoring of the business relationship including scrutiny of transactions undertaken throughout the course of that relationship to ensure that the transactions being conducted are consistent with the Company's knowledge of the customer, the business and risk profile, including

where necessary the source of funds and ensuring that the documents, data or information held are kept up-to-date.

The Company applies each of the customer due diligence measures and identification procedures set out above, but may determine the extent of such measures on a risk sensitive basis depending on the type of customer, business relationship, product or transaction.

5.3 Client Identification Information and Know your Client (KYC) Documents

Construction of client's economic profile

Irrespective of the customer's type (e.g. natural or legal person, sole trader or partnership), the Company shall request and obtain sufficient data and information regarding the clients' business activities and the expected level of transactions. More specifically, the Company collects the below data and information *before* the establishment of the business relationship, with the aim of constructing the customer's economic profile:

(a) the purpose and the reason for requesting the establishment of a business relationship;
(b) the anticipated amount to be invested
(c) the nature of the transactions (Note: as the Company currently offers only CFD trading, this has been taken as default),
(d) the expected origin of incoming funds to be credited in the account and the expected destination of outgoing transfers/payments;
(e) the customer's size of wealth and annual income and
(f) a description of the main business/professional activities/operations.

A. Accounts of Natural Persons:

The Company is required to undertake adequate client verification at the outset of the client relationship, and then on any suitable ongoing basis when changes or other factors deem it necessary.
The AMLCO shall ensure that the appropriate documents and information with respect to the following cases shall be duly obtained, as applicable and appropriate:

a. True name and/or names as stated on the official identity card or passport;
b. Full permanent residential address, including postal code;
c. Telephone number
d. Email address;
e. Date and place of birth;
f. Nationality;
g.Details of the occupations of the client including the name of employer/business organisation/employment position.

Approval through electronic databases

In accordance with provisions of Paragraph 33(1)(e) of the AML Directive, the Company is able to verify Clients through the use of electronic databases. In particular, Clients can be verified through the use of two or more sources (databases). The electronic verification procedure shall at least satisfy the following correlation standard:
i. identification of the customer's full name and current address from one source, and
ii. identification of the customer's full name and either his current address or date of birth from a second source.

If and upon the verification of Client information through two data-sources, the Client's account is automatically verified.

It should be noted that, through Paragraph 33(1)(e), the Commission outlines additional provisions for such electronic verification service providers. In particular,

In particular, the said third parties cumulatively satisfy the following conditions:
i. the electronic databases kept by the third party are registered to and/or approved by the Data Protection Commissioner in order to safeguard personal data (or the corresponding competent authority in the country the said databases are kept).
ii. electronic databases provide access to information referred to both present and past situations showing that the person really exists and providing both positive information (at least the customer's full name, address and date of birth) and negative information (e.g. committing of offences such as identity theft, inclusion in deceased persons records, inclusion in sanctions and restrictive measures' list by the Council of the European Union and the UN Security Council).
iii. electronic databases include a wide range of sources with information from different time periods with real-time update and trigger alerts when important data alter.
iv. transparent procedures have been established allowing the Company to know which information was searched, the result of such search and its significance in relation to the level of assurance as to the customer's identity verification.
v. procedures have been established allowing the Company to record and save the information used and the result in relation to identity verification.

The Company has in place procedures for the evaluation of such service providers, outlined in its Third Parties Due Diligence Procedures.

Approval on the basis of documentation:
In order to verify the Client's identity /full name the Company requests from the Client to provide a document which is issued by an independent and reliable source that carries the Client's photo (meaning a Passport, National Identity card or Driving License).
For the verification of a Client's residential address, the Company requests from the Client to provide a document issued by an independent and reliable source that includes the Client's name and residential address information. The said document is required to be issued within 6 months from the date of establishment of a business relationship.

As a proof of address, the Company shall only accept the below documents:

- ➔ Utility bill: Water/Gas/Electricity/Television services/Landline phone bills/Landline internet bills ;
- ➔ Bank statement (including screenshots of online banking and bank letter);
- ➔ Mortgage statement;
- ➔ Credit/Debit card statements;
- ➔ Tax statements or local authority tax bill; and
- ➔ Government-issued documents.

It is provided that the Company shall be able to prove that the said documents are issued by an independent and reliable source to verify its accuracy and validity. In this respect, the Back office and/or AMLCO, as applicable, shall be responsible to evaluate the independence and reliability of the sources and shall duly document and file the relevant data and information used for the evaluation, as applicable.

The approval of new clients requires a review and confirmation that all the relevant documentation has been obtained. There are two methods of conducting the said client reviews: one that relies on automatic verification and one that requires manual intervention. The automatic method is the procedure whereby the validity of the documentation provided by the Client is verified through a service provider (i.e. "Sum & Substance"/ "S&S"). Where the service provider fails to verify the Client documentation or in the cases where a potential issue is identified by the provider (e.g. forgery), the Client and identification

documentation is reviewed by the Back Office Department. The service provided by S&S ensures that the client provides a clear and legible photo of the client's identification document, identifies the type of the document and performs checks for the authenticity of the document, while also extracts information using optical character recognition and cross checks through the blocklisted inventory reports by other merchants for documents used in fraudulent transactions.

In addition to the above, in certain circumstances, e.g. if there are any PEP/Sanctions/Adverse Media results for a Client or potential blacklist report by S&S, then the application will also be reviewed by the AML Department. See Appendices VI & VII for the relevant procedures.

Liveness verification

The Liveness verification is integrated to the Company's User Admin Area through the service provider "Sum&Substance" and its purpose is to verify the consistency of the identification documents of the Client with the individual during the authentication process. It is a method used to ensure that the person interacting with a system or device is a live person and not a static image or video.

This verification process is mandatory for all customers who are not electronically verified and who register an account, irrespective of their risk category. The process of liveness verification consists of two steps:

1. The client uploads photos of their ID document, which can include a Passport, Driver's License, ID Card, etc.
2. The client must successfully pass the Liveness check, which involves positioning their face within the frame and moving their head in a circular motion for a few seconds.

Once the above steps are completed, S&S verifies clients' data and sets one of the following verification statuses:

- Approved.
- Rejected with the reason: Final reject (Blocklisted, Failed liveness, Duplicate, Regulations Violations, Forgery, Underage, Compromised person).
- Rejected with the reason: Resubmission required (Graphics editing software, Bad POI, Bad POA, Expiration date, Missing back/front side).

Depending on a Clients' risk classification (establishing a Risk-Based Approach - section 3 above), the Company applies appropriate identification and due diligence procedures. In particular:

- Simplified due diligence procedures for Low risk Clients
- Standard due diligence procedures for Medium risk Clients
- Enhanced due diligence procedures for High risk Clients

More details will be provided in Sections 5.4 and 5.5 below.

KYC verification of *Low Risk* clients:

Clients classified as Low Risk can be verified by the Company either manually or electronically. Successful electronic verification (eKYC) of the clients' details can be achieved via the designated third party providers, upon validation of the clients' details from a minimum of two different databases:

➔ Database 1: Full name, Address and Date of Birth
➔ Database 2: Full name, Address and/or Date of Birth

The procedure for manual verification of the clients' details consist of the latter providing at least a valid Proof of Identity document (thereafter, "POI") and pass the Sum&Sub liveness verification. In addition to the above, the Company requires a valid Proof of Address (hereafter, "POA") in the case where the country of IP address from where a Client registered is not consistent with the Clients' declared country of residence.

Details for the above can be traced in Section 5.4 on simplified due diligence.

KYC Verification of *Medium Risk* clients:

Clients classified as of Medium Risk can be verified by the Company either manually or electronically. The applicable eKYC procedure is the same as described above for the Low Risk clients.

The required documentation for the successful manual verification of clients' details consists of a valid POI, POA and liveness verification.

KYC Verification of *High Risk* clients:

Clients classified as of High Risk can only have their identification details verified manually: they must provide a valid POI, POA, pass the liveness verification check and provide Source of Funds clarifications and employment clarifications, specifically name of employer and exact employment position. In addition to the above and based on the Company's Risk Based Approach, the Company may also request additional information/evidence such as source of funds/source of wealth (see Section 8.2 below).

B. Accounts of Legal Persons:

For Clients that are legal persons, the Company shall establish that the natural person appearing to act on their behalf, is appropriately authorised to do so, his identity is established and verified according to the Company's aforementioned procedures.

The Company shall take all necessary measures for the full ascertainment of the legal person's control and ownership structure as well as the verification of the identity of the natural persons who are the Directors and Beneficial Owners and exercise control over the legal person according to the procedures set out below.

The verification of the identification of a legal person that requests the establishment of a Business Relationship with the Company, comprise the ascertainment of the following:

I. The registered number;
II. The registered corporate name and trading name used;
III. The full addresses of the registered office and the head offices;
IV. The telephone numbers, fax numbers and e-mail address;
V. The members of the board of directors;
VI. The individuals that are duly authorised to operate the account and to act on behalf of the legal person;
VII. The Beneficial Owners;
VIII. The registered shareholders that act as nominees of the Beneficial Owners (if any);
IX. The economic profile of the legal person; and
X. The LEI Identification number.

For the verification of the identity of the legal person, the Company may request and obtain among others the following documents:

1. Certificate of registration/ incorporation/Extract from the National Companies' Registrar
2. Certificate of good standing (where available)/Incumbency of legal person;
3. Certificate of registered office;
4. Certificate of Directors and Secretary;
5. Certificate of registered shareholders;
6. Memorandum and articles of association of the legal person;
7. A resolution of the Board of Directors of the legal person for the opening of the account and granting authority to those who will operate it;
8. The corporate structure/group structure (hierarchy to the UBO level);

9. In the cases where the registered shareholders act as nominees of the Beneficial Owners, a copy of the trust deed/agreement concluded between the nominee shareholder and the Beneficial Owner, by virtue of which the registration of the shares on the nominee shareholder's name on behalf of the Beneficial Owner has been agreed ;
10. Documents and data for the verification of the identity and address of the persons that are authorised by the legal person to operate the account, as well as the registered shareholders (with direct/indirect holding of more than 10%), directors and Beneficial Owners of the legal person.
11. Latest Financial Statements/Management Accounts (for companies over 1 year old).
12. CRS Declaration form

*The Company shall not accept as Clients legal persons with bearer shares.

Group structure and evidence of the shareholding of the intermediary companies up to the level of the beneficial shareholders (for each beneficial owner with direct/indirect holding of more than 10%, full KYC procedure is also performed).

If the legal entity is subject to supervision for the prevention of money laundering and terrorist financing purposes, the Company shall obtain a copy of the AML Policy.

If the legal entity is obliged to be registered with the registry of beneficial owners in its country of incorporation, then the Company obtains sufficient evidence for its registration or an extract of the information contained in the registry with respect to the ultimate beneficial owner.

As an additional due diligence measure, on a risk-sensitive basis, the Company shall carry out (when deemed necessary) a search and obtain information from the records of the Registrar of Companies and Official Receiver of the Republic (for domestic companies) or from a corresponding authority in the legal person's country of incorporation (for foreign companies) and/or request information from other sources in order to establish that the applicant legal person is not in the process of being dissolved or liquidated or struck off and that it continues to be registered as an operating company in the records of the Registrar of Companies and Official Receiver of the Republic or by the appropriate authority outside the Republic.

It is pointed out that if, at any later stage, any changes occur in the structure or the ownership status or to any details of the legal person, or any suspicions arise emanating from changes in the nature of the transactions performed by the legal person via its account, then it is imperative that further enquiries should be made for ascertaining the consequences of these changes on the documentation and information held by the Company for the legal person and all additional documentation and information for updating the economic profile of the legal person is collected.

C. Complex Structures:

In the case of a prospective Client-legal person that requests the establishment of a Business Relationship with the Company and whose direct/immediate and principal shareholder is another legal person, registered in the Republic of Cyprus or abroad, the Company, before establishing a Business Relationship, shall verify the ownership structure and the identity of the natural persons who are the Beneficial Owners and/or control the other legal person.

Apart from verifying the identity of the Beneficial Owners and applying the customer due diligence measures for legal persons mentioned above, the Company shall identify the persons who have the ultimate control over the legal person's business and assets. In the cases that the ultimate control rests with the persons who have the power to manage the funds, accounts or investments of the legal person without requiring authorisation and who would be in a position to override the internal procedures of the legal person, the Company, shall verify the identity of the natural persons who exercise ultimate control as described above, even if those persons have no direct or indirect interest or an interest of less than 10% in the legal person's ordinary share capital or voting rights.

D. Trusts

In cases where the beneficial owner of a legal person, requesting the establishment of a business relationship with the Company is a trust, Capital.com shall implement the following procedure:

(a) Capital.com shall ascertain the legal substance, the name and the date of establishment of the trust, and verify the identity of the trustor, trustee and beneficial owners;
(b) Capital.com shall ascertain the nature of activities and the purpose of establishment of the trust as well as the source and origin of funds requesting the relevant extracts from the trust deed and any other relevant information from the trustees. All relevant data and information should be recorded and kept in the client's file;
(c) Capital.com shall comply with any reporting requirements established by the host country concerning the Beneficial Owners registry (4MLD).
(d) In cases that a complex legal structure is identified, then the client is categorised automatically as high risk.

It should be noted that the Company does not accept any trusts as Clients.

E. Investment funds, mutual funds and firms providing financial or investment services

The Company may establish a Business Relationship with persons/entities who carry out the above services and activities and are incorporated and/or operating in countries of the European Economic Area or a third country which applies requirements equivalent to those laid down in the European Union Directive, provided that the persons/entity are categorised as low risk and the below will be obtained:

a) the said persons possess the necessary license or authorisation from a competent supervisory/regulatory authority of the country of their incorporation and operation to provide the said services;
b) are subject to supervision for the prevention of money laundering and terrorist financing purposes.

In the case of persons who carry out the above services and activities and which are incorporated and/or operating in a third country, the Company will request and obtain additional documentation and the information for the identification and verification of persons, including the beneficial owners, as follows:

a) A copy of the licence or authorisation granted to the said person from a competent supervisory/regulatory authority of its country of incorporation and operation, whose authenticity should be verified either directly with the relevant supervisory/regulatory authority or from other independent and reliable sources;
b) Adequate documentation and sufficient information in order to fully understand the control structure and management of the business activities as well as the nature of the services and activities provided by the client.
c) In the case of investment funds and mutual funds, the Company apart from identifying beneficial owners, will obtain information regarding their objectives and control structure, including documentation and information for the verification of the identity of investment managers, investment advisors, administrators and custodians. (b) Nominees or agents of third persons.

Nominees or agents of third persons are NOT acceptable. In the event they will be eventually accepted, the Company will take reasonable measures to obtain adequate documents, data or information for the purpose of establishing and verifying the identity of:

a) The nominee or the agent of the third person; and
b) Any third person on whose behalf the nominee or the agent is acting.
d) The Company will obtain a copy of the authorisation agreement that has been concluded between the interested parties.

F. Joint accounts

In cases of joint accounts of two persons, the identity of all individuals that hold or have the right to manage the account, are verified according to the Company's procedures for verifying individual clients (as above) . Further to the above, Joint accounts parties shall be required to sign a special arrangement including the power and authority each party maintains on the trading account.

The Company no longer accepts joint accounts.

General Provisions

i. Client refusing to provide information

If a prospective client either refuses to provide information when requested, or appears to have intentionally provided misleading information, the Company will not accept the client's application and will not proceed with a business relationship with that prospective client until the information will be provided and the client identification and verification procedures as contained in the AML/CFT Manual will be satisfactorily completed.

If an existing client either refuses to provide information when requested, or appears to have intentionally provided misleading information, then Capital.com, after considering the circumstances and any money laundering and terrorist financing risks involved, will consider closing the account.

In either case, the AML/CFT Compliance Officer or a member of the team will be notified in order to determine whether the circumstances constitute a reportable matter to MOKAS and whether the risk monitoring of the client should be increased.

ii. Client's true identity

If an employee forms a reasonable belief that, based on the documentation provided, the prospective client is not who he/she/it purports to be, then to be reasonably satisfied as to the client's true identity, the employee must request additional KYC information and/or documentation in respect of the customer. Further to the above, no account shall be opened in anonymous or fictitious names(s).

The AML/CFT Compliance Officer must be notified of the circumstances and he will carefully consider the application of the prospective client.

iii. Missing Information

If, at any time during the business relationship, any employee becomes aware that reliable or adequate data and information are missing from the identity and the economic profile of the client, then the employee needs to report this to the AML Department.

The AML Department takes all necessary action, by applying the customer identification and due diligence procedures according to the AML/CFT Manual, to collect the missing data and information, the soonest possible, so as to identify the client and update and complete the client's economic profile.

iv. Material Changes

In addition to the obligations set out in section 4 and 5 above, Capital.com shall check the adequacy of the data and information of the client's identity and economic profile, whenever one of the following events or incidents occurs:

(a) an important transaction takes place which appears to be unusual and/or significant compared to the normal pattern of transactions and the economic profile of the customer;

(b) a material change in the client's legal status and situation, such as:

- change of directors/secretary;
- change of registered shareholders and/or beneficial owners;
- change of registered office;

• change of trustees;
• change of corporate name and/or trading name;
• change of the principal trading partners and/or undertaking of major new business activities;

(c) a material change in the way and the rules the client's account operates, such as:
• change in the persons that are authorised to operate the account;
• application for the opening of a new account for the provision of new investment services and/or financial instruments.

v. Lack of Verification and Tolerances

Capital.com recognises that there are prospective clients who are not able to provide the required verification documents or may not exist on electronic databases. Where Capital.com cannot be reasonably satisfied as to the identity of the client, then the business relationship will not be established and such cases are to be referred to the AMLCO who in turn, will also determine whether the circumstances are suspicious and may refer the matter to relevant authorities (where required).

vi. Forgery

As already mentioned above, after obtaining the identification documents from the clients (POI) the Company shall perform a check via Sum&Sub to check the authenticity of the document. The service provided by Sum&Sub ensures that the client provides a clear and legible photo (not a digital copy) of the client's ID, identifies the type of the document and performs checks for the authenticity of the document, while also extracts information using optical character recognition and cross checks through the blocklisted inventory reports by other merchants for documents used in fraudulent transactions.

Apart from the automated check of the authenticity, the Back Office Department may check a client's documents when it exhibits signs of fraud (tampering with the document). In both cases, the matter must be immediately reported to the AMLCO who will examine the case and consider the possibility of submitting a suspicious report to MOKAS.

The procedure on handling such cases shall be traced in Appendix V.

5.4 Simplified Due Diligence

The Company applies simplified Client identification and due diligence procedures, provided that it is previously satisfied that the business relationship or transaction has a lower degree of risk (see above); whilst the Company adequately monitors the transaction and the business relationship so that unusual or suspicious transactions are detected.

The Company shall collect sufficient information, so as to decide whether the Client can be exempted from its normal Client identification and due diligence procedures. The Company, when assessing the below mentioned criteria, shall pay special attention to any activity to those clients or to any type of transactions which may be regarded as particularly likely, by its nature, to be used or abused for money laundering or terrorist financing purposes.

In general, simplified procedures may apply for low risk clients, as long as the Company has already ensured that the business relationship or the transaction presents a lower degree of risk and provided that there is no suspicion that a transaction is related to money laundering or terrorist financing. The types of clients who are considered as low risk clients are determined by the risk factors detailed in Section 4.1.
For simplified Client Identification and Due Diligence Procedures, as also specified in the Risk Factors Guidelines, the Company may:

- Adjust the quantity of information obtained for identification, verification or monitoring purposes (e.g. by verifying the Client's identity on the basis of information obtained from one reliable, credible and independent document or data source only);

- Adjust the quality or source of information obtained for identification, verification or monitoring purposes;
- Adjust the frequency of Client Due Diligence updates and reviews of the business relationship (e.g. carrying these out only when a certain transaction threshold is reached);
- Adjust the frequency and intensity of transaction monitoring (e.g. by monitoring transactions above a certain threshold only).

Further to the above, the Company highlights that it shall continuously monitor the aforementioned simplified due diligence measures applied and adjust accordingly as and when applicable, or report to MOKAS any suspicious transaction or any attempt to carry out a suspicious transaction.

5.5 Enhanced Due Diligence

The Company applies Enhanced Due Diligence (hereinafter, "EDD") procedures, in addition to the standard client identification procedures, with respect to the clients categorised as “High risk”. Also, the Company applies EDD procedures in any situation in which there are ‘red-flag’ indicators of potentially unusual or suspicious activity.

More specifically, according to Section 64 of the AML Law and the relevant EBA Risk Factor Guidelines, enhanced client identification and due diligence procedures should be applied, for the following clients that fall in any of the below categories which are considered by default as high risk:

- Politically Exposed Persons (hereinafter, the “PEP”) and/or where the Client’s family member or close associate or beneficial owner is a Politically Exposed Person;
- Clients from high risk third countries as listed in the European Commission’sDelegated Regulations well as countries under increased monitoring or subject to call for action by FATF;
- With respect to all transactions that are either complex, unusually large, conducted in an unusual pattern or do not have an apparent economic or lawful purpose.

More details regarding the risk categorisation of a client as high are set out in section 3 above.

It shall be further noted that, once a client is categorised as High risk, the Company ensures that along with the full verification of the client’s identity, the Company also undertakes enhanced due diligence measures. Such measures include - inter alia - the following:

- Ensuring that the client’s first deposit is from an account opened in the client’s name with a credit institution operating and licensed in a country within the EEA or within a country assessed by the Company as low risk;
- Liveness Verification/Confirmation of biometric data by obtaining a video snippet and a selfie of the client;
- Additional/ more frequent monitoring of the client’s transactions/trading account.
- Obtaining additional information on the background of the client and its business/economic profile from a wider variety of sources and using the information to inform the client’s risk profile. More specifically, collecting adequate evidence and information in order to construct a comprehensive and accurate client economic profile that includes the following:
    - the nature of the client’s business or employment;
    - the purpose and the reason for requesting the establishment of a business relationship;
    - the source of the client’s wealth and/or the source of the client’s funds:
        - source & size of wealth: the activities that generated the total assets of the client and the ultimate beneficial owner/s i.e. the client’s funds and property; and
        - source of funds: determining the source of funds by seeking information on the origin of funds or other assets which are the subject of the business relationship (i.e. the amounts being invested, deposited or wired as part of the business relationship) in

terms of where the funds are originated from or have been transferred from (i.e. country of origin/destination, credit institution, counterparty).

- Obtaining supplementary documents for client identification, i.e. reference letters from a reputable Credit institution, or professional recommendation letters from a lawyer or accountant.
- Obtaining approval from the AMLCO and/or senior management at the time of the establishment of the business relationship.

An indicative list of the enhanced due diligence measures applied is presented in the Appendix IX below.
In addition to the application of the measures above, for each specific category of high risk Clients the Company has set corresponding enhanced due diligence measures to be applied, as detailed below:

For PEP Clients:
The Company has in place appropriate risk-management systems and procedures to enable it to determine whether a client or a beneficial owner of the client is a Political Exposed Person (thereafter, "PEP") or a family member or a known close associate of a PEP. In particular, the Company screens clients during the onboarding stage and on an ongoing basis, through third party service providers in order to identify whether any of its clients/potential clients are PEPs, former PEPs or close associates to PEPs. Upon identification of such a client/potential client, the Back Office Department, who initially reviews the results from the service provider, escalates the matter to the AML Department for review and final decision on whether the client is a match or not. The detailed handling procedures for PEPs is captured in the Appendix VI of this AML Manual.

The establishment of a business relationship with a PEP or a member of his immediate family or a close associate that is known to be associated with a politically exposed person as interpreted in, may expose the Company to enhanced risks hence, the Company applies enhanced due diligence measures, which contains, as a minimum:

- obtain additional information on the intended nature of the business relationship, and on the reasons for intended or performed transactions;
- establish the client's source of funds/source of wealth and evaluate the legitimacy of the source of funds, including making reasonable investigations into the client's professional and financial background prior to becoming a PEP, if necessary; Relevant information is recorded in the relevant approval form;
- gather sufficient information to understand the particular characteristics of the public functions that the PEP has been entrusted with.
- The decision for establishing and continuing a business relationship with a PEP is taken by Senior Management of the Company and the decision is then forwarded to the AMLCO. In particular, The account is subject to annual review in order to determine whether to allow its continuance of operation. A short report is prepared summarising the results of the review by the person who is in charge of monitoring the account. The report is submitted for consideration and approval to the Board of Directors and filed in the customer's personal file.
- The account is being regularly reviewed and updated with new data and information.
- The Company should apply enhanced ongoing monitoring of both transactions and should identify any unusual transactions.

For Clients from High Risk countries:

The Company shall pay more attention when the clients originate from a country which is widely known to face problems of bribery, corruption and financial irregularity and whose anti-money laundering laws and regulations are not equivalent with international standards. In order to effectively manage such risks, the Company assesses the countries of residence of their client in order to identify the ones that are more vulnerable to corruption or maintain laws and regulations that do not meet the 40+9 requirements of the

Financial Action Task Force or are listed with the latest EU Delegated Regulation on high risk third countries.

In regards to the Article 64(a) of the AML/CFT Law, for Clients originated from High-risk third countries, the Company applies:

a. Collection of further information regarding the Client and beneficial owner;
b. Collection of further information regarding the nature of the business relationship;
c. Collection of information regarding the source of funds and the source of wealth of the Client and beneficial owner;
d. Collection of information regarding the purpose of the transactions that will be executed;
e. Obtain approval from AMLCO and /or Senior Management for establishment or continuing a business relationship with such a Client;
f. Apply enhanced ongoing monitoring of the business relationship through the performance of more frequent checks.

If the Client relates to a branch or subsidiary that is incorporated in a high risk third country and the Company is the sole shareholder and the said entity complies with Group procedures in relation to AML/TF, then the Company is not obliged to perform the above enhanced due diligence measures but take actions on a risk based approach. The AMLCO examines the background, purpose and intended nature of the transaction as well as the regularity and duration of the activities and whether the transactions are in line with the client's business activities; increases the degree and nature of monitoring of the business relationship to determine whether a transaction or the relationship appear to be suspicious.

For Clients with Sanctions:

The Company has an internal policy not to accept any clients who are under sanctions. In this respect, the Company has established automated procedures for screening clients through sanctioned lists in order to ensure that no such business relationship is established.

For Irregular Trading or Transaction Behaviour

In the case that the Company identifies, through its on-going monitoring procedures (see Section 8), that a Client has irregular trading or transaction behaviour then the Company could apply the following enhanced due diligence measures:

a) The Company shall apply enhanced ongoing monitoring of both transactions and the risk associated with the business relationship;
b) The Company may request from the Clients supplementary documentation as to verify the Client's source of wealth and source of funds and/or perform an analysis of the transactional and trading pattern in order to to understand the background and purpose of these transactions.

For Clients that use numerous payment methods for the transactions in trading account and multiple declined transactions

If a Client of the Company proceeds with the relevant transaction behaviour, then the Company shall see this as a risk factor and take it into account in the full risk evaluation in terms of money laundering and terrorist financing. It is possible that because of these operational risk factors a client's risk categorisation changes over time. In this respect, the Company could apply the following enhanced due diligence measures:

a) The Company shall apply enhanced ongoing monitoring of both transactions and the risk associated with the business relationship;
b) The Company may request from the Clients supplementary documentation as to verify the cardholder/beneficiary of the payment method..

For Clients whose nature of business is considered high risk

This refers to Clients engaging in cash intensive business (e.g. car dealerships, antiques, dealers of precious metals etc.) as well as sectors which are commonly associated with higher corruption risk (e.g. arms trade and defence, extractive industries, public procurement).

Should the Company establish a business relationship with such individuals, the following due diligence measures could be applied, as deemed necessary (e.g. upon Client in subject making substantial deposit):

a) Obtaining approval by the AMLCO and/ or Senior Management for establishment of business relationship;
b) The Company shall apply ongoing monitoring of both transactions and the risk associated with the business relationship;
c) The Company may request from the Clients supplementary documentation as to verify the Client's source of wealth and source of funds.

Capital.com has an obligation to monitor its clients and their transactions on an ongoing basis with a view to identify, mitigate and manage any ML/TF risk that may be posed by providing one or more services. To comply with its obligations for on-going monitoring, Capital.com has implemented the following:

- Risk-based approach;
- Periodic Customer Review
- Transaction monitoring;
- Review of deposits and withdrawals;
- Not accepting third party deposits and executing withdrawal requests back to the same source of deposit (unless practically impossible).

In general, the Company shall examine, to a reasonable extent, the background and the purpose of all transactions that fulfil any of the below conditions:

a. are complex transactions
b. are unusually large transactions
c. have an unusual pattern
d. do not have financially transparent or legal purpose

The Company shall adjust the extent and nature of the monitoring of the business relationship in order to determine if the transactions or activities are deemed suspicious.

Cyprus Investment Program (CIP)

In accordance with CySEC's Circular C416, regulated Entities were called to examine their records and identify if they maintain/ have maintained during the last 5 years a business relationship with clients or clients' beneficial owners that have acquired Cypriot citizenship under CIP - Cyprus investment Program.

Citizenship by Investment Schemes carry inherent risks related to money laundering, corruption, and bribery, primarily due to the characteristics of the target group being addressed to, i.e., high net-worth individuals. With a view to manage these risks, the Company should apply mitigating measures.

New and existing clients requiring the provision of services to apply for a citizenship through the CIP shall be classified as high risk by default as a direct result of the provision of the specific service (service risk). In this case, the Company shall determine the depth and extent of EDD measures to be applied on a case by case basis, for example obtaining evidence for Client's source of funds. Following the attainment of the citizenship and in the event that the firm continues to maintain a business relationship with the client (through the provision of other services that fall within the scope of the AML/CFT Law), the Company shall account for this in its risk assessment process.

An element of higher client risk should also be allocated to clients for whom services related to the CIP have been provided by another professional or clients who have been denied citizenship through the CIP, but with whom the firm has a business relationship, in case such information is identified. In the eventuality of refusal of granting of citizenship, the reasons for the refusal must be documented and taken into consideration when implementing the risk-based approach.

It is highlighted that in cases where a client is of Cypriot nationality attained through the CIP, it is the origin of the client that should be taken into consideration when assessing the country/geographical risk during the risk assessment process and not the nationality of the client. The Company will take reasonable steps to identify whether clients or potential clients participated to citizenship by investment programmes in Cyprus or other jurisdictions when there are reasonable indications through the information collected via the application form or the telephone correspondence with the client (i.e. Cyprus nationals with a foreign name and a mismatch in the place of residency /nationality and place of birth) and should perform a desk based investigation. In cases where a client with the above characteristics is identified, the corresponding risk should be taken into consideration and mitigating controls must be applied.

5.6 Timing of Identification

As already mentioned above, the client identification and due diligence procedures include identifying the Client/beneficial owner and taking adequate measures to verify the identity of the Client/beneficial owner, in accordance to their level of risk (on the basis of documents, data or information obtained from a reliable and independent source). As per the provisions of Article 62 of the AML/CFT Law, as it has been amended from time to time, on when to apply due diligence and identification procedures, client and beneficial owner identification must take place *before* the establishment of a business relationship with the Company, irrespective of the risk categorisation of the client.

It shall be further noted that, no deposits should be accepted by the Company, where the Client/Beneficial Owner has not provided information as to:

a. The full identification of the client, and
b. The creation of an economic profile, and/or
c. The completion of the appropriateness and target market tests.

5.7 Reliance on Third Parties for Client Identification

In accordance with Article 67 of the AML/CFT Law, the Company may rely on third parties for applying client identification procedures and customer due diligence measures, however, the ultimate responsibility for meeting these requirements shall remain with the Company who relies on the third party.

For the purposes of this section of the AML Manual, third party has the definition as defined in Article 2A (a) – (d) of the AML/CFT Law, including credit institutions or financial institutions or auditors or independent legal professionals or persons providing to third parties trust and company services based in the EU or third countries and which:

a) Apply Client due diligence procedures which are in line with requirements under the EU Directive; and
b) Are subject to supervision regarding their compliance with the requirements of the EU Directive.

Pursuant to paragraph 25(4) of the AML Directive and prior to the reliance on the third party, the Company shall undertake the following procedures:

1) Before establishing a business relationship with the third party, the Company undertakes due diligence procedures for the said third party;

2) The Company executes a written agreement which constitutes in detail the duties and responsibilities of each party;
3) The Company maintains all aforementioned documents in a separate folder which is easy to trace;
4) The AMLCO shall provide his/her approval for establishing the business relationship with the third party as well as for the due diligence procedures that the third party will undertake in relation to the Company's Clients/potential Clients.

The Company shall additionally ensure that the relevant third party:

i. Makes available the data, information and documentation collected from the Client as part of the Client identification and due diligence procedures,
ii. Immediately transfers to the Company copies of all documentation and information collected for Client identification and due diligence procedures.
iii. The Company applies the appropriate due diligence measures on the third person with respect to his professional registration and procedures and measures applied from the third person for the prevention of money laundering and terrorist financing, according to the provisions of the Directive.

In the case that the relevant third party is within the Company's group, the Company may rely on the respective third party given that:

i. The Group to which the Company belongs applies appropriate and equivalent Client identification and due diligence procedures and has adequate AML/CFT procedures in place which are in line with requirements of the EU AML Directive.
ii. The effectiveness of the Group's AML procedures are under the supervision of the respective supervisory authority.

Usage of service providers

The Company performs document authentication checks and anti-impersonation checks using the services of ''Sum and Substance Ltd''. In addition, Sum & Sub extracts information using optical character recognition and cross checks through the blocklisted inventory reports by other merchants for documents used in fraudulent transactions. Sum&Sub is also used for the liveness verification check as explained in section 5.3 above.

Furthermore, the Company utilises the databases provided by Trulio, GBG and Refinitiv in order to conduct electronic verification of the clients' details (full name, address and date of birth). Sum & Sub and Refinitiv also offer the service to screen (via API - during onboarding and on an ongoing basis during the relationship with the clients) the clients' details against PEP/ Adverse media/ Sanction lists.
For the performance of initial and ongoing screening against sanctions, PEP and Adverse Media, the Company is also engaged with Lexis Nexis.
Prior to engaging with the abovementioned service providers for electronic verification, the Company had undertaken a thorough review on the reputation as well as whether the above mentioned service providers fulfil the regulatory requirements:

- The electronic databases are registered to and/or approved by the Data Protection Commissioner in order to safeguard personal data (or the corresponding competent authority in the country the said databases are kept).

- The electronic databases provide access to information referred to both present and past situations showing that the person really exists and providing both positive information (at least the client's full name, address and date of birth) and negative information (e.g. committing of offences such as identity theft, inclusion in deceased persons records, inclusion in sanctions and restrictive measures' list by the Council of the European Union and the UN Security Council).

- electronic databases include a wide range of sources with information from different time periods with real-time update and trigger alerts when important data alter.
- transparent procedures have been established allowing the Company to know which information was searched, the result of such search and its significance in relation to the level of assurance as to the client's identity verification.
- procedures have been established allowing the Company to record and save the information used and the result in relation to identity verification.

6. Sanctions and Restrictive Measures

In accordance with the provisions of "The Implementation of the Provisions of the Resolutions or Decisions of the United Nations Security Council (Sanctions) and the Decisions and Regulations of the Council of the European Union (Restrictive Measures) Law of 2016 (58(I)/2016)", the CySEC is responsible for the compliance of the regulated entities with the Sanctions / Restrictive Measures that are decided and imposed by the United Nations' (UN) Security Council and the European Union. All information and links provided for European Union (EU) restrictive measures and United Nations (UN) sanctions are at all times taken into consideration by the AMLCO, as follows:

For UN sanctions:
- United Nations Security Council Regulations
- United Nations Office on Drugs and Crime

For EU restrictive measures:
- EU Sanctions Map
- Consolidated List of Sanctions
- European Union External Action Service
- European Commission
- Council of the European Union
- Official Journal of the European Union
- Common Foreign and Security Policy (CFSP)

Sanctions screening process

To ensure compliance with AML, CFT and financial sanctions regulations, the company is using screening technologies based on automated scanning of names to identify possible matches with designated names of individuals and entities listed on relevant sanctions lists. In this respect, all clients are screened prior to on-boarding and on an ongoing basis against a global collection of sanctions, Politically Exposed Persons (PEPs), Adverse Media and Enforcement Data from databases such as LexisNexis, Sum&Sub, Refinitiv and WorldCheck One. All databases screen information from the following official lists:

a. The United Nations (UN) Security Council consolidated sanctions list;
b. The EU's consolidated list of persons, groups and entities;
c. The US Department of the Treasury, Office of Foreign Assets Control (OFAC) sanctions lists;
d. The US Department of the Treasury, Financial Crimes Enforcement Network (FinCEN) list;
e. The UK HM Treasury (HMT), Office of Financial Sanctions Implementation, "consolidated list of targets".
f. The EU Sanctions Map;
g. The Office of Foreign Assets Control (OFAC) Sanctions List Search

For continuity and consistency purposes, the Company has established a written procedure to be followed when possible matches are identified. The procedure is included in the Appendix VI below.

The Company has also established a distinct Sanctions Policy in this respect.

7. Suspicious Transactions/Activities Related to Money Laundering

7.1 Examples of Money Laundering

The employees of the Company should be able to detect any unusual or suspicious transactions or activities that are inconsistent with the economic profile of the client and report their suspicion to the AMLCO of the Company.

Suspicious transactions/activities include, but are not limited to, the following:

- Transactions with no discernible purpose or are unnecessarily complex;
- Use of foreign accounts of companies or group of companies with complicated ownership structure which is not justified based on the needs and economic profile of the customer;
- The transactions or the size of the transactions requested by the customer do not comply with his usual practice and business activity;
- Large volume of transactions and/or money deposited or credited into, an account when the nature of the customer's business activities would not appear to justify such activity;
- The business relationship involves only one transaction or it has a short duration;
- There are frequent transactions in the same financial instrument without obvious reason and in conditions that appear unusual (churning);
- Any transaction nature, size or frequency appear to be unusual, e.g. cancellation of an order, particularly after the deposit;
- Transactions which are not in line with the conditions prevailing in the market, in relation, particularly, with the size of the order and the frequency;
- Settlement of the transaction by a third person which is different than the customer who gave the order;
- Instructions of payment to a third person that does not seem to be related with the Instructor;
- Transfer of funds to and from countries or geographical areas which do not apply or they apply inadequately FATF's recommendations on money laundering and terrorist financing;
- A customer is reluctant to provide complete information when establishing a business relationship about the nature and purpose of its business activities, anticipated account activity, prior relationships with other CIFs, names of its officers and directors, or information on its business location. The customer usually provides minimum or misleading information that is difficult or expensive for the Company to verify;
- A customer provides unusual or suspicious identification documents that cannot be readily verified;
- A customer that makes frequent or large transactions and has no record of past or present employment experience;
- Difficulties or delays on the submission of the financial statements or other identification documents, of a customer/legal person;
- A customer who has been introduced by a foreign financial organisation, or by a third person whose countries or geographical areas of origin do not apply or they apply inadequately FATF's recommendations on money laundering and terrorist financing;
- Shared address for individuals involved in cash transactions, particularly when the address is also a business location and/or does not seem to correspond to the stated occupation (e.g. student, unemployed, self-employed, etc);
- The stated occupation of the customer is not commensurate with the level or size of the executed transactions;
- Unexplained inconsistencies arising during the process of identifying and verifying the customer (e.g. previous or current country of residence, country of issue of the passport, countries visited according to the passport, documents furnished to confirm name, address and date of birth etc);

- Transactions or company structures established or working with an unneeded commercial way. e.g. companies with bearer shares or bearer financial instruments or use of a postal box;
- Use of general nominee documents in a way that restricts the control exercised by the company's Board of Directors;
- Changes in the lifestyle of employees of the Company, e.g. luxurious way of life or avoiding being out of office due to holidays; and
- Changes in the performance and the behaviour of the employees of the Company.

The above list is not exhaustive, nor it includes all types of transactions that may be used for money laundering, nevertheless it can assist the Company and its employees in recognising the main methods used for money laundering and terrorist financing. The detection by the Company of any of the transactions contained in the said list prompts further investigation and constitutes a valid cause for seeking additional information and/or explanations as to the source and origin of the funds, the nature and economic/business purpose of the underlying transaction, and the circumstances surrounding the particular activity.

7.2 Examples of Terrorist Financing

The funding of a terrorist organisation is made from both legal and illegal revenue generating activities. Criminal activities generating such proceeds include kidnappings (requiring ransom), extortion (demanding "protection" money), smuggling, thefts, robbery and narcotics trafficking. Legal fund-raising methods used by terrorist groups include:

a) Collection of membership dues and/or subscriptions;
b) Sale of books and other publications;
c) Cultural and social events;
d) Donations; and
e) Community solicitations and fundraising appeals.

Non–profit and charitable organisations are also used by terrorist groups as means of raising funds and/or serving as cover for transferring funds in support of terrorist acts. The potential misuse of non-profit and charitable organisations can be made in the following ways:

- Establishing a non-profit organisation with a specific charitable purpose but which actually exists only to channel funds to a terrorist organisation;
- A non-profit organisation with a legitimate humanitarian or charitable purpose is infiltrated by terrorists who divert funds collected for an ostensibly legitimate charitable purpose for the support of a terrorist group;
- The non-profit organisation serves as an intermediary or cover for the movement of funds on an international basis; and
- The non-profit organisation provides administrative support to the terrorist movement.

Unusual characteristics of non-profit organisations indicating that they may be used for an unlawful purpose are the following:

- Inconsistencies between the apparent sources and amount of funds raised or moved;
- A mismatch between the type and size of financial transactions and the stated purpose and activity of the non-profit organisation;
- A sudden increase in the frequency and amounts of financial transactions for the account of a non-profit organisation;
- Large and unexplained cash transactions by non-profit organisations; and
- The absence of contributions from donors located within the country of origin of the non- profit organisation.

7.3 Reporting of Suspicious Transactions/Activities

The Company takes all reasonable measures for the timely recognition and reporting of suspicious transactions /activities. The Company has set procedures in place in order to ensure that all suspicious activities are identified and reported in a timely and professional manner.

More specifically, if any employee of the Company identifies any suspicion of money laundering or terrorist financing transactions/activities (or has reasonable grounds for considering it as such), must immediately submit the "Internal Suspicious Report" (hereinafter, the "ISR") with all relevant information, electronically, and assign it to the AMLCO for further review. All employees should exercise critical judgement when examining a potentially suspicious transaction. A template of the ISR can be traced in Appendix II.

Upon receiving the ISR, the AMLCO proceeds on reviewing the case and documents the analysis within the Internal Evaluation Report (hereinafter, the "IER")(Appendix III). Depending on each case's details, the AMLCO provides at the end of the IER a justified outcome on whether the case should be reported to the Financial Intelligence Unit (hereinafter referred as the "FIU"), or not. It should be noted that the AMLCO may delegate the said responsibilities to the Deputy AMLCO.

The FIU in Cyprus is the "Unit for Combating Money Laundering" (hereinafter, "MOKAS"). For each case deemed necessary to be reported to the FIU by the AMLCO, the latter must fill in and submit to MOKAS a Suspicious Activity Report (hereinafter, "SAR") or Suspicious Transaction Report (hereinafter, "STR") via the GoAML online platform. From this point onwards, it is up to MOKAS to review the case and instruct the AMLCO on the next steps that must be taken. At the same time all accounts and portfolios of the Client in question are closely monitored and examined.

It shall be noted though that, If, following the evaluation of the information, the AMLCO decides not to notify MOKAS, he must provide a full explanation with the reasons for not reporting to MOKAS in the IER.

It is important to be noted that in accordance with the AML/CFT Law, the Company and all relevant persons should not disclose to the client in question that information or other relevant material regarding knowledge or suspicion of money laundering have been submitted to MOKAS.

7.4 Monthly Prevention Statement / Clients' Cash Deposits

In accordance with the relevant provisions of the AML Directive and the Circular C567, the AMLCO prepares and submits to CySEC - on a monthly basis - the Monthly Prevention Statement (Appendix IV) through the CySEC's Transaction Reporting System ('TRS') which includes details for the total cash deposits exceeding 10,000 EUR accepted by the Company each month, the number of internal suspicions reports identified during each month relating to the above cash deposits and the number of suspicious activities reported to MOKAS by the AMLCO. It is noted that the Company neither accepts physical currency deposits from its clients or payments from money transfer services which accept physical currency deposits.

8. Ongoing Monitoring of Accounts and Transactions

8.1 General Provisions

The Company shall have a full understanding of the normal and reasonable account activity of its clients as well as of their economic profile and have the means of identifying transactions which fall outside the regular pattern of an account's activity or identifying complex or unusual transactions or transactions without obvious economic purpose or clear legitimate reason. Without such knowledge, the Company will not be able to discharge its legal obligations to identify and report suspicious transactions to MOKAS, if deemed required.

The constant monitoring of Clients' accounts and transactions is an imperative element in the effective controlling of the risk of Money Laundering and Terrorist Financing. The AMLCO shall be responsible to set up the relevant procedures while the Back Office and Financial Crime Department shall assist in their implementation.

The procedures and intensity of monitoring accounts and examining transactions are based on the level of risk and, as minimum, include the following:

a. Identifying all high-risk Clients, therefore, the systems or the measures and procedures of the Company are able to produce detailed lists of high risk Clients so as to facilitate enhanced monitoring of accounts and transactions;
b. Detecting unusual or suspicious transactions that are inconsistent with the economic profile of the Client for the purpose of further investigations;
c. The investigation or automated detection of unusual or suspicious transactions performed by the employees who have been appointed for that purpose; the results of the investigations are recorded in a separate memo which is linked to the file of the Client concerned;
d. All necessary measures and actions must be taken, based on the investigation findings of points (c), including any internal reporting of suspicious transactions/activities to the AMLCO;
e. Ascertaining the source and origin of the funds credited to accounts, when applicable.

8.2 Transaction monitoring

The Company has established procedures following a risk based approach to monitor clients' transactions on an ongoing basis including monitoring size, location, type, volume and nature of transactions in order to identify any suspicious activity. In particular, the Company has established a combination of manual and automated (real-time) alerting procedures in efforts to identify any transactions which fall outside the regular pattern of an account's activity or to identify complex or unusual transactions or transactions without obvious economic purpose or clear legitimate reason.

i. Manually

Capital.com's Back Office/Financial Crime Department's duties include the monitoring of the transactional and trading activity of clients in order to determine if a transaction and/or trade lacks financial rationale or is suspicious because it is an unusual transaction or strategy for that customer, as they are the departments undertaking the daily tasks on Client's accounts.

ii. Automatic Alerts

The Company makes use of real-time automatic alerts whereby the Company is notified immediately and constantly of cases where such potential irregularities and/or suspicious transactions occur.

The AML Department utilises check tools for the provision of alerts on clients' KYC documentation and information and account activity. The alerts trigger automatically in the Company's User Admin Area upon a

Client fulfilling the predetermined criteria. Alerts are mainly reviewed and assessed by the Company's Back Office/Financial Crime Department and, where applicable and based on guidelines provided by the AMLCO, Clients are requested clarifications and/or evidence for instance with respect to their deposit method or source of funds. More specifically, when an alert in relation to a client's transactional activity is triggered, an investigation is performed and/or a review of the client to assess whether the customer's transactional activity is suspicious. One or more of the following measures are undertaken:

a. Additional identification verification measures to verify the identity of the client
b. Review of the transactional and trading activity of the client
c. Requesting documentation for the purpose of establishing the cardholder and/or beneficiary of the payment method used
d. Liaising with other responsible departments in order to confirm whether the trading activity of the client is suspicious compared to his transactional activity or whether there are any suspicious login sessions to the client's account.

All information and details regarding the handling of each case created by the transaction monitoring system, are stored in the client's file in the Company's platform. In case the extent of the review requires additional scrutiny or in the case where no rationale can be identified or inconsistency persists, the case passes to the AML Department for further investigation and decision on further actions on the Client's account (e.g. trading restrictions or account closure). A memo with the relevant supporting documentation will be created and stored electronically. Additionally, ad-hoc reviews are initiated by the AML department for any reason deemed required. The current alerts implemented by the Company are set out in detail in the Appendix VII.

The Company shall regularly assess the effectiveness of its ongoing monitoring procedures and enhance them as and if necessary to ensure that they reflect the Company's nature and size of its business activities.

Deposits and withdrawals review and processing

The Company's Back Office (Payments) Department is responsible for approving the clients' deposits and withdrawals in case these are not done automatically by the system (based on predetermined criteria). The department is using certain trigger-based tools in the performance of their duties.

Based on the method of client's deposit and/or withdrawal, the department, in accordance with the established procedures and guidelines or instructions received by the AML Department where applicable, may perform the following additional measures:

a. Request further evidence proving the client's ownership of the account used to deposit (i.e. bank statements or copies of the card used);
b. Request of additional client identification and due diligence information and/or documentation from clients and/or perform electronic checks;
c. Restrict the availability of certain deposit/withdrawal methods for certain clients as they consider necessary for minimising the risk of money laundering and terrorist financing;
d. Place the client under close monitoring.

All additional information and/or documentation obtained from clients as well as the results of any further checks performed are being recorded and held in the Company's files.

Source of funds supporting documentation

As part of the ongoing monitoring of Clients' accounts and transactions, the Company has designed dedicated automated monitoring systems (alerts) which assist the Company in identifying any potential suspicious activity but also alerting the Company for Clients who require additional scrutiny due to the value of transactions undertaken in the account.

As part of the aforementioned, the Company shall proceed with the efforts to obtain supporting

documentation to verify a Client's source of funds upon a Client makes substantial deposits and/or in the cases where such evidence is necessary (e.g. PEPs) and/or on ad-hoc cases upon the Company's discretion.

The Company has established a dedicated alert for requesting evidence for the source of funds of Clients depending on the net deposited amount of the Clients and the Clients' country of residence. The rationale for the aforementioned is the fact that countries have different standards of living and average annual income.

The alert triggers automatically in the Company's User Admin Area upon a Client fulfilling the predetermined criteria. Thereafter, the Company's Back Office Department arranges for the source of funds request to be communicated to the Client. The detailed procedure in regards to the flow upon the initial review of a client's source of funds is set out as Appendix IX of the present Manual.

Not accepting third party deposits and executing withdrawal requests back to the same source of deposit

In order to minimise the ML/TF risk, the Company accepts deposits from accounts matching the client's name declared during the registration process. Any third-party deposits identified should be refunded back to the same source of deposit and clients are being notified that the Company does not accept any deposits from third parties. In particular, the Company has in place a dedicated procedure for handling any identified third party deposits which shall be adhered to.

Further to the above, Clients' withdrawal requests are being executed back to the same source of deposit, unless practically impossible or unless sufficient documentation is obtained to ascertain that no AML risks arise.

8.3 Clients' KYC documents and information

The Company has established procedures for the collection of updated identification information and documentation from Clients. In particular, the Company has established automated and ad-hoc pop-up messages for Clients requesting from them to verify their personal information and their declared economic profile.

In particular, the timeframes determined by the Company for the collection of updated information from Clients depends on the Clients' risk classification. This is:

- Every year for High risk clients;
- Once every two (2) years for Medium risk clients; and
- Once every three (3) years for Low risk clients.

In addition to the above, 30 days prior to the expiration of the Client's identification document, the Company shall automatically send a pop-up message along with an email to the Client requesting updated documentation.

Additionally, ad-hoc reviews are initiated by the AML department for any reason deemed required, or when an archived (dormant) account becomes active again and the review period has passed, or when an upward risk change has been effected and the review period has passed.

8.4 Account Closing procedure

The Company's relevant departments (e.g. AML/Compliance Department, Back Office Department) are responsible for Client Account Closing. Accounts of Clients may be closed due to the following reasons:

- Client abuses the Company's systems,
- Client's transaction/trading activity is suspicious,

- Client is not responsive to the Company's requests,
- Upon Client's request.

The aforementioned list is not exhaustive. The Company may at any instance decide to terminate the business relationship with the Client. Further to the above, in case a Client has been reported to MOKAS for suspicious activity, then appropriate measures will be undertaken to ensure that Client is not made aware of this (this may include not terminating the business relationship). Upon terminating the business relationship with the Client, the Company shall arrange to refund the Client his/her remaining balance to the same source used by the Client to deposit.

Inactive Accounts:

The Company may establish a procedure to classify inactive accounts. As a rule, inactive accounts are the accounts to which no trades/positions were opened the past 12 calendar months.The Company may also determine an inactivity fee i.e. 10EUR/GBP/USD per month which shall be duly communicated to Clients. Following the classification of an account as inactive, the Company may proceed with the closure of the said accounts.

Procedure for Termination of Business relationship

The Company's Terms and Conditions expressly state the right of the Company, unilaterally and with immediate effect and without giving any prior notice, to terminate its business relationship with any of its existing clients in case of an event of default or for any other reason stipulated in the Terms and Conditions.

The Company may proceed with the termination of a business relationship by sending a termination letter to the Client (either automatic or manually). In the case a Client has open position(s), then the Company may at its own discretion provide an advance notice in order for the Client to close his positions, otherwise, the company will do so on his behalf, as per the notice of termination.

Any remaining funds to the Client's accounts shall be sent back to the Client in accordance with the Company's procedures.

In addition tothe above, the Company may proceed with adding temporary restrictions to a Client's account prior to the termination of the business relationship in order to mitigate the risk of recurrence of the identified activity until the trading account is closed or until the client has complied with the requests of the company..

9. Record Keeping

In accordance with the requirements of the applicable law, the Company will retain all records relevant to this AML/CFT Manual and policies, including the following:

(a) the AML/CFT Manual and all reviews and addendums to the same;
(b) transactional records;
(c) customer identification and due diligencerecords;
(d) audits and compliance reviews;
(e) internal reporting and reporting to MOKAS;
(f) monthly prevention statements;
(g) senior management approvals;
(h) communication with clients;
(i) annual compliance reports and other management reports;
(j) training and compliance monitoring reports; and
(k) information relating to the effectiveness of training.

Mainly, client documentation and records are maintained electronically in the Company's systems. The AMLCO must maintain a registry of all information received from employees regarding information which is considered to be knowledge or suspicion of money laundering or terrorist financing activities or might be related with such activities and the decision of whether to report or not to MOKAS.

9.1 Time period of keeping documents/data

In accordance with Article 68 of the AML/CFT Law, records in terms of customer identification, due diligence, transactions and communication are to be retained for a period of at least five (5) years, which is calculated after the termination of the business relationship. Further extension may be granted, if needed, for additional five (5) years for the purposes of prevention, detection or investigation of money laundering and terrorist financing and after carrying out an assessment of the necessity and proportionality.

Where Capital.com (or its staff) carries out a client identification and verification procedure with respect to a prospective client to whom Capital.com proposes to provide a designated service, it must retrieve(and retain) a record of:

(a) information obtained in the course of carrying out the procedure (i.e. supporting documentation to verify the identification of the customer);
(b) the details of all relevant records with respect to the provision of investment services to customers; and
(c) the relevant correspondence with the customers.

It is provided that the documents / data mentioned in points (a),(b) and (c) above, which may be relevant to ongoing investigations, shall be kept by the Company until MOKAS confirms that the investigation has been completed and the case has been closed.

9.2 Format of documents

The Company's clientele consists only of non-face-to-face clients. In this respect, the due diligence and identification documents obtained for the purposes of ensuring compliance with the AML Law and AML Directive shall be obtained and maintained in the following forms:

A) Electronic verification, or

B) Copy of due diligence and identification documents (including scanned copies of the originals). This is the main format of documents provided by its non-face-to-face clients.

Electronic verification or scanned copies of documents may be obtained, provided that one of the following conditions are met:

a. The first payment of the operation is carried out through an account opened in the Client's name with a credit institution which operates in a country within the European Economic Area or with a credit institution operating and licensed in a third country, which according to the Company is categorised as low risk.
b. Telephone contact with the customer, in the case of a natural person at his home or office and in the case of companies or other legal persons to the address they have given for their main offices, on a telephone number which has been verified (electronically or otherwise) from independent and reliable sources. During the telephone contact (welcome call), the Company shall confirm additional aspects of the identity information submitted by the customer during the procedure of opening his account.
c. An adequate ani-impersonation measure and fraud prevention measure is taken by the company to confirm the validity of the information or documents received with one or more of the below measures:
    i. Document authentication via a third party provider
    ii. Biometric check of the client's face via a mobile phone/webcam and verification it matches the identification document provided
    iii. Receipt of two forms of primary identification documents (i.e. ID and Passport) or additional secondary identification documents (birth certificate)
    iv. A combination of document based identification and electronic identification (with electronic identification from only one source serving as a second identification document).

The adequacy of the anti-impersonation measures and EDD measures applied for non-face-to-face clients is subject to the AMLCOs judgement for the perceived fraud risk of each client and additional measures might be required.

9.3 Language of documents

The Company strives to obtain documentation from Clients in English language, however, this is not feasible at all times. In this respect, if a Client provides any identification or supporting documentation in a language other than English or Greek, then the Company strives for such a document to be reviewed by a native speaker within the Back Office Department. If such an option is unavailable, the Company may consider obtaining translation from a service provider.

10. Processing of personal data

The processing of personal data under the AML Law is subject to the Processing of Personal Data (Protection of Individuals) Law. Personal data are processed by the Company on the basis of the AML Law only for the purposes of the prevention of money laundering and terrorist financing and are not to be further processed in a way that is incompatible with those purposes, such as commercial purposes.

Concerning new clients, the Company ensures that they are provided with the following information before the establishment of business relationship:

a) The following information as derived from the requirements of Article 14 of the Regulation (EU) 2016/679:
   1. The identity and contact details of the controller and of his representative, if any;
   2. The contact details of the data protection officer (hereinafter the "DPO"), where applicable;
   3. The categories of personal data concerned;
   4. The recipients or categories of recipients of the data;
   5. The period for which the personal data will be stored, or if that is not possible, the criteria used to determine that period;
   6. The existence of the right of access to and the right to rectify the data concerning him/her;
   7. The right to lodge a complaint with a supervisory authority;
   8. The existence of the right to withdraw consent at any time. Without affecting the lawfulness of processing based on consent before its withdrawal; and
   9. From which source the personal data originate, and if applicable, whether it came from publicly accessible sources.

b) The purpose of processing for which data is intended and a general notice concerning the Company's legal obligations for processing of personal data for the purposes of preventing money laundering and terrorist financing.

capital.com

11.Employees' Obligations, Education and Training

11.1 Employees' Obligations

The employees of the Company are required to report anything that comes to their attention in relation to transactions for which there is a slight suspicion that are related to money laundering or terrorist financing.

An employee, who knows or reasonably suspects that a client is engaged in laundering or financing of terrorism offences, commits an offence if he does not disclose the said information to the AMLCOas soon as it comes to his attention.

11.2 Education and Training

This part of the Company's AML Manual shall be read in conjunction with the Education and Training of Staff as part of the Company's Internal Operations Manual. As regards, the Company's employees' shall be fully aware of their legal obligations according to the AML Law and AML Directive, hence it is essential for an annual education and training program to be introduced. The Company's AMLCO has the responsibility to propose to the Board of Directors an Annual Training Plan for each year, which shall be reviewed, updated (if deemed necessary) and introduced by the latter.

In this respect, each department of the Company shall have its own training scheme which will be updated based on the frequency of the amendments in the AML Law. Additionally, ongoing training will be given at regular intervals to ensure that the employees are reminded of their duties and responsibilities and are kept informed of any new developments.

The timing, content and frequency of the training provided to the employees are adjusted according to the needs of the Company, the employees themselves, their duties, as well as on the amendments of legal and/or regulatory requirements and any changes in the financial system of the Republic of Cyprus. In addition, it is essential for the Company to ensure that all employees and directors receive at least once a year an up-to-date course on anti-money laundering matters in order to ensure that they are reminded of their duties and responsibilities.

Updated or refresher training will depend upon staff promotions and/or depending upon the level of assessed ML/TF risk of the designated service. Training will be carried out under the supervision of a senior member of the AML Department. Ongoing training will occur on a periodic basis.

Training may be developed and provided either in house or by contracted training organisations. Delivery of the training may include educational leaflets, videos, in-person lectures and explanatory memos.

Records of training must be maintained to demonstrate that the person/s attended the training session/s, the dates of training, a brief description of the subject matter of the training provided and the number of hours (or level of accreditation) for attending the course/session/seminar.

Certain key employees exposed to a greater ML/TF risk will undergo specialised additional training. Training will occur for all existing staff upon adoption of the AML/CFT Manual. As for new staff, they will receive the required training upon commencement of employment with Capital.com and thereafter ongoing training will occur periodically.

Taking into consideration the size of Capital.com, its customer base, products, services offered and resources, the Training Program will include the following:

(a) the AML/CFT Manual;

(b) the obligations of Capital.com under the AML/CFT Law and Directive;
(c) the types of ML/TF risk Capital.com might face and the possible consequences of such risks;
(d) how to identify suspicious activity related toML/TF that arise during the course of the employees' duties;
(e) escalation procedures i.e. what to do once a suspicious ML/TF transaction is identified;
(f) source of funds cases
(g) handling PEP/Adverse media results
(h) what the employee's roles are in the firm's compliance efforts and how to perform them i.e. the processes and procedures relevant to each person's role;
(i) the record keeping and record retention policy; and
(j) the disciplinary consequences (including civil and criminal penalties) for non-compliance with the AML/CFT Law and Directive.

11.3 Employee due diligence

Capital.com has implemented procedures, ensuring that the identity and past history of prospective employees are verified. Capital.com recognizes the potential risk as a result of staff turnover and has implemented procedures to ensure that new staff members (or existing staff members promoted with greater levels of AML/CFT responsibility), undergo comprehensive training in regard to Capital.com's policies and procedures. When the nature and size of Capital.com's business increases (for example when layers of management / supervisors are created), these procedures will need to be readdressed.

As part of Capital.com's recruitment process, potential candidates will have their references vetted, be required to participate in a formal interview, may be requested to perform skills assessment, or any combination of these, prior to offering a candidate a position. Employees will be selected on the basis of their experience, skills, qualifications and industry knowledge. The Company maintains a registry with "clean criminal records" for all new employees.

The status of all new members of staff must be identified on their commencement of employment (authority to represent the company and provide a designated service) and the identification must be verified and recorded i.e. Capital.com will ensure that the identity and past history of a prospective employee has been verified prior to granting any authority to the employee to represent Capital.com.

Employees who fail to comply with the compliance systems and/or controls will be subject to disciplinary procedures, which may include termination of employment (cancellation of authority to represent Capital.com). Employees that are suspected of facilitating money laundering or terrorism financing will be reported to the appropriate authorities.

12. Appendices

Appendix I: Client Risk Assessment Methodology

https://docs.google.com/document/d/1wvaasgsApDxH_0VGCVOsx5ukwQ4fj64r/edit?usp=drive_web&ouid=108307886067614681974&rtpof=true

Appendix II - Internal Suspicious Report

INTERNAL SUSPICION REPORT FOR MONEY LAUNDERING AND TERRORIST FINANCING

INFORMER'S DETAILS

Name:

Department:

Position:

CUSTOMER'S DETAILS

Name:

Customer ID:

INFORMATION/SUSPICION

Brief description of activities/transaction:

Total deposit (USD):

Total withdrawal (USD):

Reason(s) for suspicion:

Department's Representative Signature: Date:

FOR COMPLIANCE OFFICER'S USE

Date received:

Time received _____ Ref: _____

Reported to MOKAS: Yes/No. Date Reported.....Ref.....

Appendix III - Internal Evaluation Report

INTERNAL EVALUATION REPORT FOR MONEY LAUNDERING AND TERRORIST FINANCING

Reference:
Customer Details:
Name:
Customer ID:

Informer: Department:

INQUIRIES UNDERTAKEN (Brief Description)

Brief description of activities/transaction:

Registered:
First Deposit:
Total deposit (USD):
Total withdrawal (USD):
Payment methods:

Reason(s) for suspicion:

ATTACHED DOCUMENTS -

COMPLIANCE OFFICER'S DECISION

FILE NUMBER -

COMPLIANCE OFFICER'S SIGNATURE DATE:

…… _____

Appendix IV - Monthly Prevention Statement

Form Sample

General Info

Form MPS

AML/CFT Department

ΕΠΙΤΡΟΠΗ ΚΕΦΑΛΑΙΑΓΟΡΑΣ ΚΥΠΡΟΥ
CYPRUS SECURITIES AND EXCHANGE COMMISSION

GENERAL INFORMATION

A.	File information (for official use only)	
1.	Date of update	15/02/2023
2.	Version	1
3.	File name	
4.	Reporting Currency	EURO

B.	Reference date	
1.	Reporting Period	
2.	Reference Date	
3.	Submission Date	

C.	Identification of the reporting entity	
1.	Name of Entity *(as on CySEC's license)*	
2.	TRS Identification Code of Entity *(as provided by CySEC)*	
3.	Name of the Compliance Officer	
4.	Telephone Number	
5.	Email Address	

Mandatory fields are completed
FALSE

SECTION A - ANALYSIS OF CASH DEPOSITS OVER €10.000

Instructions:

1. *Please complete the required information/data in the tables below for the cash deposits over €10.000 per customer, per month, whether the cash deposit is carried out in a single transaction or in several transactions.*

2. *In cases where no customers' money are kept/held or no cash deposits are conducted over €10.000, please complete the table with a zero ("0") indication.*

Definitions:

1. "cash deposits" *mean deposits directly from customers to the Regulated Entities, as well as deposits made by customers to the accounts of the Regulated Entities kept in credit and/or financial institutions in:*

- *'Cash' as defined in Article 2(1), points (a), (c) to (f) of Regulation (EU) 2018/1672 of the European Parliament and of the Council,*
- *Crypto-assets subject to mixing,*
- *Anonymity Enhanced Tokens,*
- *Other deposits of assets that bear the characteristic of anonymity similar to cash (the physical holder is presumed to be the owner) and/or deposits of assets that according to the risk assessment of the Regulated Entities face similar ML/TF risks to cash.*

2. *As defined in* ***Article 2(1), points (a), (c) to (f) of Regulation (EU) 2018/1672 of the European Parliament and of the Council:***
(a) 'cash' *means:*
(i) currency;
(ii) bearer-negotiable instruments;
(iii) commodities used as highly-liquid stores of value;
(iv) prepaid cards.

(b) 'currency' *means banknotes and coins that are in circulation as a medium of exchange or that have been in circulation as a medium of exchange and can still be exchanged through financial institutions or central banks for banknotes and coins that are in circulation as a medium of exchange.*

(c) 'bearer-negotiable instruments' *means instruments other than currency which entitle their holders to claim a financial amount upon presentation of the instruments without having to prove their identity or entitlement to that amount. Those instruments are:*

- *traveller's cheques; and*
- *cheques, promissory notes or money orders that are either in bearer form, signed but with the payee's name omitted, endorsed without restriction, made out to a fictitious payee, or otherwise in such form that title thereto passes upon delivery.*

(d) 'commodity used as a highly-liquid store of value' *means a good, as listed in point 1 of Annex I, that presents a high ratio between its value and its volume and that can easily be converted into currency through accessible trading markets while incurring only modest transaction costs.*

(e) 'prepaid card' *means a non-nominal card, as listed in point 2 of Annex I, that stores or provides access to monetary value or funds which can be used for payment transactions, for acquiring goods or services or for the redemption of currency where such card is not linked to a bank account.*

3. 'crypto-assets subject to mixing' *mean crypto-assets that were subject to mixing at any time in the past (irrespective of how far in the past such mixing took place), that the Firm has decided to accept following its due diligence and risk assessment.*

4. 'Anonymity Enhanced Tokens' ('AETs'), *i.e. Privacy Coins, that the Firm has decided to accept following its due diligence and risk assessment.*

---

1. Please complete ALL the cells of the table below with numerical values ONLY. For cells that are not applicable, please insert "0" (zero).

Column A	*Column B*	*Column C*	*Column D*
Type of cash deposits	**Total number of cash deposits over €10.000** **00/01/1900**	**Total number of Customers** **00/01/1900**	**Amount** **00/01/1900** **€**
Total	**0**	**0**	**0**
Currency			
Bearer-Negotiable Instruments			
Commodities Used as Highly-Liquid Stores of Value			
Prepaid Cards			
Crypto - Assets Subject to Mixing			
Anonymity Enhanced Tokens ("AETs")			
Other deposits of assets that bear the characteristic of anonymity similar to cash (the physical holder is presumed to be the owner) and/or deposits of assets that according to the risk assessment of the Regulated Entities face similar ML/TF risks to cash.			

Form MPS | 0

ΕΠΙΤΡΟΠΗ ΚΕΦΑΛΑΙΑΓΟΡΑΣ ΚΥΠΡΟΥ
CYPRUS SECURITIES AND EXCHANGE COMMISSION

SECTION B - REPORTS SUBMITTED REGARDING CASH DEPOSITS

If the total number of cash deposits over €10.000 reported in Cell D55 of Section A is 0 ("zero"), please answer the following questions by reporting 0 ("zero") in yellow cells and by selecting 'N/A' in green cells.

1. Total number of Internal Suspicion Reports submitted by the Regulated Entities employees to the AML/CFT Compliance Officer ('AMLCO').
2. Confirm that the AMLCO has examined all relevant information for the purpose of determining whether or not the information or other matter contained in the Internal Suspicion Reports proves or creates suspicion that a person is engaged in a money laundering offence or terrorist financing.
3. Confirm that the AMLCO's examination, supporting evidence and conclusions are recorded in the respective customers' files and are readily available for inspection by CySEC.
4. Total number of Internal Suspicion Reports for which the AMLCO has decided not to submit a report to MOKAS.
5. Total number of cash deposits over €10.000 for which a suspicion report submitted internally and the information is kept in the Company's records.
6. Total number of Reports submitted by the AMLCO to MOKAS.

Mandatory fields are completed
FALSE

Appendix V - Forgery/Blocklisted cases procedure

The policy can be found here.

Appendix VI - Screening handling Procedure

The procedure can be found here.

Appendix VII - Alerts handling

See procedure here

Appendix VIII - Source of Funds Procedure

See procedure here

Appendix X - Penalty Provisions

ARTICLE NUMBER	DETAILS	PENALTY
4.1 Money Laundering offenceS	Every person who- (a) knows; or (b) ought to have known that any kind of property constitutes proceeds from the commission of illegal activities, carries out the following activities: – converts or transfers or removes such property, for the purpose of concealing or disguising its illicit origin or of assisting in any way any person who is involved in the commission of the predicate offence to carry out any of the above actions or acts in any other way in order to evade the legal consequences of his actions; – conceals or disguises the true nature, the source, location, disposition, movement of and rights in relation to, property or ownership of this property; – acquires, possesses or uses such property; – participates in, associates, cooperates, conspires to commit, or attempts to commit and aids and abets and provides counselling or advice for the commission of any of the offences referred to above; – provides information in relation to investigations that are carried out for laundering offences for the purpose of enabling the person who acquired a benefit from the commission of a predicate offence to retain the proceeds or the control of the proceeds from the commission of the said offence.	Money Laundering offence punishable by fourteen years' imprisonment or by a pecuniary penalty of up to five hundred thousand euro (€500,000) or by both of these penalties in the case of (a) and by five years' imprisonment or by a pecuniary penalty of up to fifty thousand euro (€50,000) or by both in the case of (b).
27 Other offences in connection with laundering and financing of terrorism offences	A person who- (a) knows or reasonably suspects that another person is engaged in laundering or financing of terrorism offences, and (b) the information on which that knowledge or reasonable suspicion is based, comes to his attention in the course of his trade, profession, business or employment, shall commit an offence if he does not disclose	Punishable by imprisonment not exceeding two years or by a pecuniary penalty not exceeding five thousand euro (€5,000) or by both of these penalties.

	the said information to the Unit as soon as is reasonably practicable after it comes to his attention.	
31 Prohibition of publicizing information	Where proceedings are being carried out before a Court for- (a) the issue of a warrant of arrest, under the Criminal Procedure Law, against a person for whom there is evidence that he has committed a prescribed offence under article 3; or (b) the making of interim orders under this Law against a person for whom there is evidence that he has committed a prescribed offence, provided that no criminal proceedings for the commission of such offence have been instituted in the Republic against this person, the court may order that the proceedings be conducted in the absence of representatives of the Press and other mass media or other persons not directly interested in or affected by the proceedings and to prohibit the publication of any information in relation to the said proceeding.	Any person who publishes information in contravention of the directions of the court under subsection (1), shall commit an offence punishable by one year's imprisonment or by a pecuniary penalty of two thousand euro (€2,000) or by both of these penalties.
48 Offences in relation to the disclosure of information	Any person who discloses that, information or other relevant material regarding knowledge or suspicion for money laundering have been submitted to MOKAS or makes a disclosure which may impede or prejudice the interrogation and investigation carried out in respect of prescribed offences or the ascertainment of proceeds, knowing or suspecting that the said interrogation and investigation are taking place.	Punishable by imprisonment not exceeding two years or to a fine not exceeding fifty thousand (€50,000) and/or to both these sentences.
51 Procedure to be followed	In relation to a confiscation order, where the summary inquiry procedure is followed and it is determined that the accused benefited from the commission of a predicate offence.	The court may impose a pecuniary penalty without prejudice to the power of the court to impose any other additional penalty.

52 **False statements**	False statements A person called as a witness before the court in relation to an inquiry carried out under this Part and who knowingly gives false or inaccurate information.	Punishable by four years imprisonment.
59.6 **Supervisory Authorities.**	The Supervisory Authority may take all or any of the following measures in cases where a person falling under its supervision fails to comply with the provisions of this Part of the Law or with the Directives issued by the competent Supervisory Authority in accordance with paragraph (4) of this section or the provisions of EC Regulation no. 847/2015:	(i) To require the supervised person to take such measures within a specified time frame as may be set by the Supervisory Authority in order to remedy the situation; (ii) To impose: (aa) an administrative fine of up to (€1.000.000) having first given the opportunity to the supervised person to be heard, and (bb) in the event that the culpable offender derived a benefit from the breach which benefit exceeds the administrative fine referred to in sub-paragraph (aa) an administrative fine up to an amount of at least twice the amount of the benefit derived from the breach and (cc) in the event the breach continues, an administrative fine of up to one thousand euro (€1.000) for each day the breach continues. (iii) To amend or suspend or revoke the license of operation of the supervised person. (iv) A temporary ban against any person discharging managerial responsibilities in an obliged entity, or any other natural person, held responsible for the breach from exercising managerial functions in obliged entity. (v) To impose an administrative

		fine referred to in sub-paragraph (ii) of the present paragraph to a director, manager or officer or to any other person whenever it is established that the failure to comply was due to their fault, intentional omission or negligence. (vi) to make a public statement indicating the natural or legal person who is held responsible for a breach and the nature of the breach concerned (vii) to require the natural or legal person responsible for the breach, to cease its conduct and to desist from a repetition of that conduct.

68C. Offence of providing false or misleading evidence or information and false or forged documents.	In the event that a the customer of an obliged entity, or a person who is authorised to act on behalf of the customer, or a third person according to paragraph (a) of subsection (2) of section 67, on whom the obliged entity relies for the performance of the procedures for customer identification and due diligence measures, knowingly provides false or misleading evidence or information for the identity of the customer or of the ultimate beneficial owner or provides false or forged identification documents, is guilty of the offence.	In case of conviction, such person is subject to imprisonment not exceeding 2 years or to a pecuniary penalty of up to €100.000 or to both of these penalties.